

**Wolaita Sodo University**

**College of Business and Economics**

**Department of Accounting and Finance**

**The 3rd Round Mock Exam for Accounting  
and Finance Regular Students**

**Date: January, 2025 Total Number of**

**Questions: 100**

**Maximum Weight: 100% Time Allowed:**

**3:00 Hours**

**Multiple Choice Questions:**

**Instruction: Choose the Best Answer from  
the given Alternatives. (1 point each)**

1. Which of the following types of business organizations in Ethiopia has no limited liability?

A. General partnership

- B. Limited Partnership
- C. Share company
- D. Private limited company

**Answer: A**

2. Which of the following statement about an account is true?

- A. The right side of an account is the debit, or increase side
- B. An account is an individual accounting record of increases and decreases in specific assets, liability, and equity items
- C. There are separate accounts for specific assets and liabilities but only one account for stockholders' equity items
- D. The left side of an account is the credit, or decrease, side.

**Answer: B**

3. Powers Corporation received a cash advance of ETB 500 from a customer. As a result of this event,

- A. Assets increased by ETB 500
- B. Equity increased by ETB 500
- C. Liabilities decreased by ETB 500
- D. Both assets and Liability increased by ETB 500

**Answer: D**

4. When a company performs a service but has not yet received payment, it

- A. Debits Service Revenue and credits Accounts Receivable
- B. Debits Accounts Receivable and credits Service Revenue
- C. Debits Service Revenue and credits

Accounts Payable

D. Makes no entry until cash is received.

**Answer: B**

5. In the first month of operations, the total of the debit entries to the Cash account amounted to

ETB 3,000 and the total of the credit entries to the Cash account amounted to ETB 1,800.

The Cash account has

A. ETB 1,800 credit balance

B. ETB 3,000 debit balance

C. ETB 1,200 debit balance

D. ETB 1,800 credit balance

**Answer: C**

6. At November 1, 20XX, Johnson Inc. had an Accounts Receivable balance of ETB 200,000. During the month, the company made sales on

account of ETB 300,000. In addition, Johnson Inc. collected ETB 400,000 from customers that owed them money. At November 30, 2018, the Accounts Receivable balance is

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- A. ETB 100,000 debit
- B. ETB 100,000 credit
- C. ETB 500,000 debit
- D. ETB 300,000 credit

**Answer: A**

7. Which of the following steps in the accounting process is done after analyzing business transactions?

- A. Preparing the financial statements
- B. Preparing a trial balance

C. Entering transactions in a journal

D. Posting journal entries

**Answer: C**

8. Digote Company had the following transactions during 20X2. Sales of ETB 9,000 on account. Collected ETB 4,000 for services to be performed in 20X3. Paid ETB 2,650 cash in salaries. Purchased airline tickets for ETB 500 in December for a trip to take place in 20X3. What is Digote's 20X2 net income using cash basis accounting?

A. ETB 10,350

B. ETB 1,350

C. ETB 9,850

D. ETB 8508

**Answer: C**

9. Multi-step income statement \_\_\_\_\_.

A. Separates cost of goods sold from operating expenses

B. Considers interest revenue as an operating activity

C. Is another name for a simple income statement

D. Combines cost of goods sold and operating expenses

**Answer: A**

10. A customer obtains an allowance from the retailer in the amount of ETB 450 for damaged

merchandise. Which of the following represents the journal entry for this transaction,

assuming the customer has not remitted payment?

A. Debit Sales Return & Allowance, ETB 450; credit Cash, ETB 450

B. Debit Sales Return & Allowance, ETB 450; credit Account Receivable, ETB 450

C. Debit Sales Return & Allowance, ETB 450; credit Accounts Payable, ETB 450

D. None of the above

**Answer: B**

11. An aging of a company's accounts receivable indicates that ETB 6,000 are estimated to be uncollectible. If Allowance for Doubtful Accounts has a ETB 2,000 debit balance, the adjustment to record bad debts for the period will require a

- A. Debit to Bad Debt Expense for ETB 8,000
- B. Debit to Allowance for Doubtful Accounts for ETB 8,000
- C. Debit to Bad Debt Expense for ETB 4,000
- D. Credit to Allowance for Doubtful Accounts for ETB 4,000

**Answer: A**

12. The interest on a ETB 10,000, 9%, 90-day note receivable is

- A. ETB 225 B. ETB 900 C. ETB 75 D. ETB 150

13. Which of the following is the starting point for an entity accounting in accordance with IFRSs?

- A. The date when the decision about adopting IFRS has been made
- B. The date of issuance of the first financial

statement in accordance with IFRS

C. The date of transition to IFRSs

D. The date when the explicit and unreserved statement of compliance with IFRSs has been made

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**Answer: C**

14. An entity's first IFRS financial statements shall include at least \_\_\_\_\_,

\_\_\_\_\_,

two separate statements of profit or loss (if presented), two statements of cash flows, two statements of changes in equity and

\_\_\_\_\_, including comparative information for

all statements presented.

A. Three statements of profit or loss and other

comprehensive income; two statements of financial position; related notes

B. Two statements of financial position; two statements of profit or loss and other comprehensive income; two sets of related notes

C. Three statements of financial position; two statements of profit or loss and other comprehensive income; related notes

D. Three statements of financial position; three statements of profit or loss and other comprehensive income; two sets of related notes

**Answer: C**

15. Which of the following would not be considered as capital market security?

A. A corporate bond C. A 6-month Treasury

bill

B. A common stock D. A mutual fund share

**Answer: C**

16. What is the main focus of an operational audit?

A. Financial statement accuracy

B. Efficiency and effectiveness of operations

C. Compliance with laws and regulations

D. Risk management practices

**Answer: B**

17. Which statement about internal auditors is NOT true?

A. They are employed by the organization they audit.

B. They report to the board of directors.

C. They can provide consulting services.

D. They are independent from the organization.

**Answer: D**

18. What is "sampling risk"?

A. The risk of selecting a non-representative sample

B. The risk of fraud occurring in the sampled transactions

C. The risk of an auditor not being able to complete the audit

D. The risk of miscommunicating audit findings

**Answer: A**

19. The concept of "independence" in auditing refers to:

A. The auditor's ability to conduct audits

without help

B. The auditor's lack of personal interest in the client

C. The auditor's independence from accounting software

D. The client's independence from competitors

**Answer: B**

19. What does "audit evidence" refer to?

A. Information collected by the auditor to support conclusions

B. Financial statements prepared by management

C. Reports prepared by internal auditors

D. Legal documents related to financial transactions

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**Answer: A**

20. Which audit opinion indicates that an auditor could not obtain sufficient evidence?

- A. Unmodified opinion
- B. Qualified opinion
- C. Adverse opinion
- D. Disclaimer of opinion

**Answer: D**

21. What is the purpose of internal controls?

- A. To prepare financial statements
- B. To provide reasonable assurance regarding the achievement of objectives

C. To detect fraud

**Answer: B**

D. To ensure auditor independence

22. What is an adverse opinion in auditing?

- A. An opinion that financial statements are

free of material misstatement

B. An opinion indicating serious misstatements

C. An opinion with reservations

D. An opinion stating that the auditor could not obtain sufficient evidence

**Answer: B**

23. What is the term for the amount that an auditor believes could be misstated without affecting

the decision of a reasonable user?

A. Audit risk

B. Control risk

C. Materiality

D. Detection risk

**Answer: C**

24. What is the primary distinction between

modern and traditional concepts of financial management?

A. Modern concepts focus only on fundraising.

B. Traditional concepts emphasize the broad scope of finance.

C. Modern concepts integrate financial activities with decision-making and resource allocation.

D. Traditional concepts focus on technological advancements.

**Answer: C**

25. Which of the following is considered an agency cost in financial management?

A. Revenue earned from capital markets

B. Monitoring expenditures like fees for external auditors

C. Incremental cash flows from new projects

D. Profits earned by shareholders

**Answer: B**

26. You purchased one share of Mesobo

Cements for \$261.25. Based on varying

economic

conditions, the expected market price after a

year could be \$305.50, \$285.50, \$261.25, or

\$243.50. Dividends are \$4, \$3.25, \$2.50, and

\$2, respectively, for these scenarios. Calculate

the expected rate of return. What is the

expected rate of return?

A. 8.5%

B. 6.0%

C. 7.2%

D. 5.5%

**Answer: B**

27. You are investing in two assets, X and Y, with the following expected returns and risks:

X: Expected return = 5%, standard deviation = 5.80%

Y: Expected return = 8%, standard deviation = 7.63%

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The correlation coefficient ( $\rho$ ) between X and Y is -0.746. You invest 57.8% in X and 42.2% in

Y. What is the portfolio variance?

A. 5.48%

B. 11.23%

C. 8.70%

D. 6.35%

**Answer: A**

28. The share prices of Hypothetical Company

fluctuate under varying economic conditions, with a beta of 1.5. The risk-free rate ( $r_f$ ) is 5%, and the expected market return ( $r_m$ ) is 12%. What is the required rate of return according to the CAPM model?

- A. 14.5%
- B. 16.5%
- C. 13.0%
- D. 12.5%

**Answer: B**

29. You are considering investing in Jenson & Nicholson shares. Over a five-year period, the returns are -28.7%, 56.2%, 123.4%, 52.2%, and 57%. Calculate the standard deviation of returns. What is the standard deviation of returns?

- A. 52.13%

B. 47.65%

C. 60.28%

D. 49.87%

**Answer: A**

30. You are constructing a portfolio with equal investment in two securities, M and N. The expected return of M and N is 16%, and the standard deviations are 20% each. What is the portfolio variance if the correlation coefficient between M and N is +0.10? What is the portfolio variance?

A. 0.042

B. 0.038

C. 0.035

D. 0.025

**Answer: A**

31. A company issues bonds with a par value

of \$1,000, a 10% coupon rate, and a 15-year maturity. The bonds are sold for \$950, and flotation costs amount to \$30 per bond. The company's marginal tax rate is 35%. What is the after-tax cost of debt?

A. 7.43%

B. 8.27%

C. 6.55%

D. 9.12%

**Answer: A**

32. Satellite Share Company plans to issue preferred stock with a par value of \$50 per share. The stock will pay quarterly dividends of \$1.25, and flotation costs are 6% of par value. The stock sells at 95% of its par value. What is the cost of preferred stock?

- A. 9.80%
- B. 11.00%
- C. 10.50%
- D. 8.60%

**Answer: B**

33. A company is planning to issue new equity shares priced at \$100 per share with a flotation cost of 5%. The expected dividend at the end of the first year is \$6 per share, and the dividend growth rate is 7%. What is the cost of equity?

- A. 12.63%
- B. 13.32%
- C. 13.63%
- D. 12.00%

**Answer: C**

34. Apple Manufacturing Company has the

following capital structure based on market value:

Debt: \$1,000,000 (Cost = 5.3%)

Preferred stock: \$125,000 (Cost = 12%)

Common equity: \$1,375,000 (Cost = 16%)

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What is the weighted average cost of capital (WACC)?

|                                             |           |           |              |
|---------------------------------------------|-----------|-----------|--------------|
| A.<br>11.52%<br><b>Answer</b><br>: <b>A</b> | B. 10.93% | C. 12.35% | D.<br>11.15% |
|---------------------------------------------|-----------|-----------|--------------|

35. A board of directors for X Corporation announces a dividend increase from \$1 per share to \$1.25 per share. This decision was made based

on sustained earnings growth over the last four quarters. Following the announcement, the stock price increased by 5% in the market. What is the most likely explanation for the stock price increase following the dividend announcement?

- A. Investors prefer reinvesting dividends rather than receiving cash.
- B. The announcement conveys positive information about the company's future earnings.
- C. The increase aligns with the ex-dividend date, and investors aim to qualify for dividends.
- D. The stock market automatically adjusts to changes in dividend payout ratios.

**Answer: B**

36. Corporation has volatile earnings due to its cyclical business operations. The company's management is debating between adopting a stable dividend-per-share policy and a residual dividend policy. Which dividend policy is most suitable for Y Corporation, and why?

A. stable dividend-per-share policy, because it avoids signaling instability to investors.

B. Residual-dividend policy, because it allows flexibility in retaining earnings for investments.

C. Constant dividend-payout-ratio policy, as it reflects earnings performance directly.

D. Compromise policy, to balance investor expectations with earnings variability.

**Answer: B**

37. A high-net-worth individual is evaluating two investment options: shares in A Corporation,

which pays regular high dividends, and shares in B Corporation, which retains earnings for reinvestment and capital gains. The investor falls under the highest tax bracket. Which investment is most tax-efficient for the investor, and why?

A. A Corporation, because regular dividends ensure steady income.

B. B Corporation, because capital gains are taxed at a lower effective rate.

C. A Corporation, as it allows for dividend reinvestment with no additional tax impact.

D. Both are equally efficient due to tax-exempt status for high-net-worth investors.

**Answer: B**

38. Z Corporation decides to reduce its stock price to attract smaller investors. It currently has

1,000,000 shares at \$50 per share and decides on a 2-for-1 stock split. What will be the new par value of each share after the split, and how does this differ from a stock dividend?

A. \$50; a stock split reduces retained earnings, unlike a stock dividend.

B. \$25; a stock split decreases par value, while a stock dividend does not.

C. \$25; a stock dividend increases shares outstanding without affecting par value.

D. \$50; both stock splits and stock dividends leave par value unchanged.

**Answer: B**

39. A retail company needs to finance its temporary working capital needs, and its management

decides to use short-term financing to minimize costs. However, it also uses long-term

financing for permanent current assets. What type of financing mix approach does this company follow, and what are its implications?

A. Conservative Approach: Leads to higher safety but lower profitability.

B. Aggressive Approach: Leads to lower costs but increases risks during emergencies.

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C. Hedging Approach: Matches the asset's life with the source of finance to balance risk and

profitability.

D. Dynamic Approach: Adjusts financing based on market conditions and asset requirements.

**Answer: C**

40. A firm currently has annual sales of \$5 million and an average collection period of 30 days. It

plans to relax its credit policy, which will increase sales by \$200,000, increase bad debt expenses by 1.5%, and extend the collection period by an additional 30 days. The

profitability rate is 10%, and the cost of borrowing is 6%. Should the firm adopt this credit

policy? What will be the net return under the new policy, and should the firm implement it?

A. Net return: \$7,000; Yes, implement the policy.

B. Net return: -\$10,000; No, do not implement the policy.

C. Net return: \$10,000; Yes, implement the policy.

D. Net return: -\$2,000; No, do not implement the policy

**Answer: B**

41. A company has annual credit sales of \$16 million, with 60% on credit. Its current average

collection period is 75 days, and bad debts are 1% of credit sales. The company spends \$75,000 annually on credit collection costs, and its borrowing cost is 6%. A factoring firm offers to manage the receivables for a fee of

1.75% of credit sales and provide 80% of the receivables as an advance within 10 days.

Should the company use the factoring service?

What is the net benefit or cost of using factoring, and what should the company do?

A. Net benefit: \$43,333; Use factoring.

B. Net benefit: -\$51,667; Do not use factoring.

C. Net benefit: \$0; Indifferent to factoring.

D. Net benefit: \$50,000; Use factoring

**Answer: A**

42. A firm's current credit policy has a profitability slope of 12% and a liquidity slope of 8%. It

is considering hardening its credit terms to reduce receivables and costs, but this will decrease sales and move the profitability slope to 9%. Based on the trade-off, what should

the firm do?

- A. Maintain the current credit policy as it aligns profitability and liquidity optimally.
- B. Harden the credit policy to minimize receivable costs.
- C. Soften the credit policy to increase profitability.
- D. Adopt factoring services to improve cash flow.

**Answer: A**

43. A company has an economic order quantity of 1,500 units. Its lead time is 2 weeks under normal conditions but may extend to 3 weeks during supply chain delays. The average weekly usage of inventory is 500 units, and the maximum weekly usage is 600 units.

Calculate the reorder point under uncertainty.

What is the reorder point for this company under uncertainty?

A. 1,500 units

B. 1,600 units

C. 2,000 units

D. 2,300 units

**Answer: C**

44. A flexible-budget variance is \$600 favorable for unit-related costs. This indicates that costs were:

A. \$600 more than the master budget

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B. \$600 less than for the planned level of activity

C. \$600 more than standard for the achieved

level of activity

D. \$600 less than standard for the achieved level of activity

**Answer: D**

45. A favorable efficiency variance for direct materials might indicate:

A. That lower-quality materials were purchased

B. An over skilled workforce

C. Poor design of products or processes

D. A lower-priced supplier was used

**Answer: B**

46. The cost to produce Part A was \$20 per unit in 2013 and in 2014 it has increased to \$22 per

unit. In 2014, Supplier ABC has offered to supply Part A for \$18 per unit. For the make-

orbuy decision:

A. Incremental revenues are \$4 per unit

B. Incremental costs are \$2 per unit

C. Net relevant costs are \$2 per unit

D. Differential costs are \$4 per unit

**Answer: D**

47. Which standard covers non-current assets held for sale and discontinued operations.

|                                             |           |           |              |
|---------------------------------------------|-----------|-----------|--------------|
| A. IAS<br>38<br><b>Answer</b><br>: <b>C</b> | B. IAS 41 | C. IFRS 5 | D. IFRS<br>6 |
|---------------------------------------------|-----------|-----------|--------------|

48. Investors agree to invest in high- risk investments if only

A. There are any true speculations

B. The predicted return is satisfactory for

taking a risk

C. There are no safe options except for holding cash

D. The return is short

**Answer: B**

49. Which of the following items qualifies as property, plant and equipment?

A. A machine bought for use during a single accounting period

B. A machine bought for resale to a customer

C. A machine bought for use in more than one accounting period

D. Computer software bought for use in more than one accounting period

**Answer: C**

50. Which of these would cause the inventory turnover ratio to increase the most?

- A. Increasing the amount of inventory on hand.
- B. Keeping the amount of inventory on hand constant but increasing sales.
- C. Keeping the amount of inventory on hand constant but decreasing sales.
- D. Decreasing the amount of inventory on hand and increasing sales.

**Answer: D**

51. Harold Company overstated its inventory by \$15,000 at December 31, 2010. It did not correct the error in 2010 or 2011. As a result, Harold's owner's equity was:

- A. Overstated at December 31, 2010, and understated at December 31, 2011
- B. Overstated at December 31, 2010, and properly stated at December 31, 2011

C. Understated at December 31, 2010, and understated at December 31, 2011

D. Overstated at December 31, 2010, and overstated at December 31, 2011

**Answer: B**

52. Claims for which formal instruments of credit are issued as proof of the debt are

A. Accounts receivable C. Notes receivable

B. Interest receivable D. Other receivables

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**Answer: C**

53. To record estimated uncollectible accounts using the allowance method, the adjusting entry

would be

A. Debit to Accounts Receivable and a credit to Allowance for Doubtful Accounts.

B. Debit to Bad Debt Expense and a credit to Allowance for Doubtful Accounts.

C. Debit to Allowance for Doubtful Accounts and a credit to Accounts Receivable.

D. Debit to Loss on Credit Sales and a credit to Accounts Receivable.

**Answer: B**

54. Going concern can be defined best as:

A. The concept provides the basis for the formation of the accounting equation.

B. This concept refuses allocation of cost on different accounting periods.

C. This concept discusses the issue of the realization of profit.

D. This concept assumes that the business will operate for a long period of time and will not be dissolved in the near future.

**Answer: D**

55. Which of the following is a characteristic of a governmental fund?

- A. Focus on net income
- B. Use of accrual accounting
- C. Use of modified accrual accounting
- D. Profit motive**

**Answer: C**

56. What does the term "encumbrance" refer to in fund accounting?

- A. A long-term asset
- B. A liability
- C. A commitment to spend**
- D. A revenue source

**Answer: C**

57. Which of the following is an example of a special revenue fund?

- A. General Fund
- B. Debt Service Fund
- C. Library Fund
- D. Capital Projects Fund

**Answer: C**

58. Which statement is true regarding the Debt Service Fund?

- A. It accumulates resources for long-term capital projects.
- B. It accounts for the payment of interest and principal on long-term debts.
- C. It is used for daily operating expenses.
- D. It is funded primarily through grants.

**Answer: B**

59. Which of the following is a characteristic of proprietary funds?

- A. They are used for government operations.

- B. They operate like a business.
- C. They are only for non-profit organizations.
- D. They do not generate revenue.

**Answer: B**

60. Fiduciary funds are primarily used for:

- A. Personal investments
- B. Managing assets on behalf of others
- C. Governmental operations
- D. Private equity funding

**Answer: B**

61. Which fund type is classified by the government as a fund providing services to the public for a fee?

- A. Governmental fund B. Proprietary fund

|                                          |                             |
|------------------------------------------|-----------------------------|
| C. Fiduciary<br>fund<br><b>Answer: B</b> | D. Capital projects<br>fund |
|------------------------------------------|-----------------------------|

62. The ability-to-pay principle of taxation suggests that:

- A. Taxes should be based on consumption
- B. Individuals should pay taxes based on their income
- C. Everyone should pay the same amount
- D. Taxes should be flat-rate

**Answer: B**

63. Which of the following is a characteristic of a good tax system?

- A. Complexity
- B. Equity
- C. Lack of transparency
- D. High rates

**Answer: B**

64. Which tax is levied on the transfer of property at death?

- A. Inheritance tax
- B. Estate tax
- C. Gift tax
- D. Capital gains tax

**Answer: B**

65. Which of the following best describes "public goods"?

- A. Goods provided exclusively by the private sector
- B. Goods that are non-excludable and non-rivalrous

|                                         |                                 |
|-----------------------------------------|---------------------------------|
| C. Goods that are sold at market prices | D. Goods that require user fees |
|-----------------------------------------|---------------------------------|

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|------------------|--|
| <b>Answer: B</b> |  |
|------------------|--|

66. Which of the following is a potential consequence of high taxation?

- A. Increased investment
- B. Tax evasion
- C. Higher consumer spending
- D. Decreased public debt

**Answer: B**

67. What is the primary aim of tax incentives?

- A. To increase government revenue
- B. To encourage certain behaviors or investments

|                             |                              |
|-----------------------------|------------------------------|
| C. To simplify the tax code | D. To reduce public spending |
|-----------------------------|------------------------------|

**Answer: B**

68. Which of the following taxes is typically levied on specific goods, such as alcohol or tobacco?

- A. Value-added tax
- B. Income tax
- C. Excise tax
- D. Property tax

**Answer: C**

69. What does "tax neutrality" mean?

- A. Taxes are the same for everyone
- B. Taxes do not distort economic decisions
- C. All taxes are voluntary
- D. Taxes are collected without any cost

**Answer: B**

70. Which of the following is a potential advantage of a flat tax system?

- A. Increased complexity
- B. Greater equity
- C. Simplicity in tax compliance
- D. Higher rates for the wealth

**Answer: C**

71. Which of the following describes a "regressive tax"?

- A. Tax rates increase as income increases

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- B. Tax rates decrease as income increases
- C. Tax rates are fixed regardless of income
- D. Tax rates are based on consumption

**Answer: B**

72. What is the main purpose of the government's budget?

- A. To allocate resources and plan expenditures
- B. To increase public debt

C. To manage private sector investments

D. To regulate monetary policy

**Answer: A**

73. What is the primary function of interest rates in the economy?

A. They determine the value of currency

B. They help in the allocation of savings to investments

|                                   |                           |
|-----------------------------------|---------------------------|
| C. They regulate the stock market | D. They control inflation |
|-----------------------------------|---------------------------|

**Answer: B**

74. Which theory suggests that interest rates are determined by the supply and demand for loanable funds?

A. Liquidity Preference Theory

B. Loanable Funds Theory

C. Market Segmentation Theory

D. Expectations Theory

**Answer: B**

75. According to the document, what is the minimum capital requirement for establishing a

private bank as of 2021?

A. ETB 10 million

B. ETB 75 million

C. ETB 500 million

D. ETB 5 billion

**Answer: D**

76. If you expect the inflation rate to be 15 percent next year and a one-year bond has a yield to

maturity of 7 percent, then the real interest rate

on this bond is:

- A. 7 percent.
- B. 22 percent.
- C. -15 percent.
- D. -8 percent.

**Answer: D**

77. The riskiest capital market security is;

- A. Preferred stock
- B. Common stock
- C. Corporate bonds
- D. Treasury bonds.

**Answer: B**

78. In which of the following situations would you prefer to be making a loan?

- A. The interest rate is 9 percent and the expected inflation rate is 7 percent.
- B. The interest rate is 4 percent and the

expected inflation rate is 1 percent.

C. The interest rate is 13 percent and the expected inflation rate is 15 percent.

D. The interest rate is 25 percent and the expected inflation rate is 50 percent.

**Answer: B**

79. The principal objectives of the Capital Market Authority of Ethiopia shall include all:  
Except

A. To protect investors;

B. To ensure the existence of a capital market environment in which securities can be issued and traded in an orderly, fair, efficient and transparent manner;

C. To increase systemic risk by ensuring the integrity of the capital market and transactions;

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D. To promote the development of the capital market by creating enabling environment for long term investments.

**Answer: C**

80. What is meant by "asymmetric information" in financial markets?

A. All participants have equal information

B. Some participants have more information than others

C. Information is irrelevant to market decisions

D. Information is always accurate

**Answer: B**

81. What is the main regulatory body of the banking sector in Ethiopia?

A. Ministry of Finance

B. National Bank of Ethiopia

C. Ethiopian Commodity Exchange

D. Insurance Council

**Answer: B**

82. Considering the Ethiopian financial system, what could be a potential benefit of allowing foreign banks to operate?

A. Increased regulatory complexity

B. Greater competition and improved banking services

|                                |                                |
|--------------------------------|--------------------------------|
| C. Decreased public confidence | D. Enhanced government control |
|--------------------------------|--------------------------------|

**Answer: B**

83. What is the primary reason for the stringent regulation of banks in Ethiopia?

- A. To promote competition
- B. To eliminate foreign banks
- C. To maintain public confidence and prevent financial crises
- D. To increase profitability

**Answer: C**

84. What is the primary purpose of derivatives in financial markets?

- A. Reduce liquidity
- B. Manage risk
- C. Guarantee profits
- D. Eliminate competition

**Answer: B**

85. If a company has to pay 10,000 EUR in 30 days and the current exchange rate is 1.10 USD/EUR, how much will it need in USD?

- A. 9,090.91

USD

B. 11,000

USD

C. 10,000

USD

D. 12,100

USD

**Answer: A**

86. Which of the following is a common hedging strategy in foreign currency transactions?

A. Currency speculation

B. Forward contracts

C. Arbitrage

D. Day trading

**Answer: B**

87. What is the minimum revenue threshold

for a segment to be reported separately under IFRS

8?

- A. 5% of total revenue
- B. 10% of total revenue
- C. 15% of total revenue
- D. 20% of total revenue

**Answer: B**

88. Which of the following statements is true regarding segment accounting?

- A. All segments must be reported regardless of size.
- B. Segments must be aligned with the company's internal reporting.
- C. Only profitable segments need to be reported.

D. Segments are always based on geographic areas.

**Answer: B**

89. Which of the following is a common reason for forming a joint venture?

A. To avoid competition

B. To share risks and costs

C. To eliminate the need for a business plan

D. To monopolize a market

**Answer: B**

90. If a joint venture's capital structure consists of 40% equity and 60% debt, how much equity is there in a \$1,000,000 venture?

|    |    |    |    |
|----|----|----|----|
| A. | B. | C. | D. |
|----|----|----|----|

|                |           |           |           |
|----------------|-----------|-----------|-----------|
| \$400,000      |           |           |           |
| <b>Answer:</b> | \$600,000 | \$800,000 | \$200,000 |
| <b>A</b>       |           |           |           |

91. What is the primary purpose of an allowance in compensation?

- A. To increase salary
- B. To cover specific expenses
- C. To reduce tax liability
- D. To provide bonuses

**Answer: B**

92. In a partnership, if the profit-sharing ratio is 1:2 and the total profit is \$90,000, what amount does the second partner receive?

|    |             |             |    |
|----|-------------|-------------|----|
| A. | B. \$60,000 | C. \$45,000 | D. |
|----|-------------|-------------|----|

|                             |  |  |          |
|-----------------------------|--|--|----------|
| \$30,000                    |  |  |          |
| <b>Answer</b><br><b>: B</b> |  |  | \$15,000 |

93. Using the double-declining balance method, what is the depreciation expense for the second year for an asset costing \$90,000 with a useful life of 5 years?

|                             |             |             |                |
|-----------------------------|-------------|-------------|----------------|
| A.<br>\$36,000              |             |             |                |
| <b>Answer</b><br><b>: A</b> | B. \$24,000 | C. \$18,000 | D.<br>\$30,000 |

94. What is the maximum corporate tax rate for companies in Ethiopia as of 2023?

|               |        |        |           |
|---------------|--------|--------|-----------|
| A. 25%        |        |        |           |
| <b>Answer</b> | B. 30% | C. 35% | D.<br>40% |

|            |  |  |  |
|------------|--|--|--|
| <b>: B</b> |  |  |  |
|------------|--|--|--|

95. What is the primary method of amortizing intangible assets?

- A. Straight-line method
- B. Declining balance method
- C. Units of production method
- D. No amortization is required

**Answer: A**

96. Goodwill arises when:

- A. A company acquires another company for more than the fair value of its net identifiable assets
- B. A company sells its intangible assets

|                                                           |                                    |
|-----------------------------------------------------------|------------------------------------|
| C. A company creates a new patent<br><br><b>Answer: A</b> | D. A company's assets are revalued |
|-----------------------------------------------------------|------------------------------------|

97. Which of the following is a condition for a share-based payment to be classified as equitysettled?

- A. The payment is settled in cash
- B. The employee must exercise the option
- C. The employee must provide services
- D. The fair value of goods or services received is not measurable

**Answer: C**

98. Deferred tax liabilities arise when:

- A. Taxable income is less than accounting income
- B. Taxable income is greater than accounting income
- C. There are permanent differences between tax and accounting income

D. There are no timing differences

**Answer: B**

99. When should an entity recognize a liability under IFRS 17?

A. When premiums are received

B. When a contract is signed

C. When the coverage period begins

D. When the contract is underwritten

**Answer: C**

100. What is the primary challenge in valuing goodwill?

A. It has a finite life

B. It cannot be sold separately

C. Its value is subjective

D. It is always amortized

**Answer: C**



**Wolaita Sodo University**  
**College of Business and Economics**  
**Department of Accounting and Finance**  
**The 3rd Round Mock Exam for**  
**Accounting and Finance Regular**  
**Students**

**Multiple Choice Questions: Instruction:**  
**Choose the Best Answer from the given**  
**Alternatives. (1 point each)**

1. Which of the following is NOT a step in applying materiality?
  - A. Estimate misstatements in each segment
  - B. Determine the audit strategy**
  - C. Compare combined misstatements with judgmental materiality

D. Determine performance materiality

**Answer B:**

2. Why might an auditor choose to lower the level of acceptable audit risk for a particular engagement?

A. The client is privately held with no debt

B. The client has strong internal controls

**C. The financial statements will be widely distributed to external users**

D. The audit team is highly experienced

**Answer C:**

3. What is the most appropriate response when an auditor identifies significant inherent risk in a client's revenue recognition process?

- A. Reduce the extent of substantive testing
- B. Eliminate analytical procedures
- C. Perform more detailed substantive testing and evaluate controls
- D. Increase the level of materiality.

B. Answer C:

4. Which combination of factors most significantly influences the sufficiency of audit evidence?
- A. Sample size and objectivity of evidence
  - B. Appropriateness and sample size
  - C. Auditor's expectation of misstatement and internal control effectiveness
  - D. Relevance and timeliness.

Answer B:

5. Which of the following is not one of the eight balance-related audit objectives?

- A. Realizable Value
- B. Cutoff
- C. **Timing**
- D. Rights and Obligations.

**Answer C:**

6. Which type of test used to estimate the total dollar amount of a population or the total dollar amount of error in a population?

- A. Test of control
- B. Attribute tests
- C. Audit tests
- D. **Substantive tests**

**Answer D:**

7. The auditor planned to conduct audit of procurement that made using different

methods such as direct purchase, Proforma, National and international bid. Based on your professional knowledge, which sampling method is relevant for the auditor?

- A. Random sampling
- B. Systematic sampling
- C. Block sampling
- D. Stratified sampling

Answer D:

8. The accounting system will not post a sales transaction to the sales journal without valid bill of loading number. This control is most relevant to which transaction-related objectives for sales?

- A. Occurrence
- B. Accuracy
- C. Posting and Summarization

D. Completeness

Answer A:

9. An auditor decision either to apply analytical procedures as substantive tests or to perform substantive tests of transactions and account balances usually determined by:

A. Relative effectiveness and efficiency of the tests

B. Availability of data aggregated at high level

C. Timing of tests performed after the balance sheet data

D. Auditor's familiarity industry trends

Answer A:

10. Which of the following is one of the better auditing techniques to detect kiting?

- A. Review composition of authenticated deposit slips
- B. Review subsequent bank statements and cancelled checks received directly from banks
- C. Prepare year end bank reconciliations
- D. Prepare a schedule of bank transfers from the clients Books

Answer D:

11. Which of the following disclosures is NOT required by IAS 41?
- A. description of the biological assets.
  - B. The names and addresses of the company's major customers.
  - C. The methods and assumptions used to determine fair value.

D. The carrying amount of biological assets pledged as security for liabilities.

**Answer B:**

12. ABC Pipe Factory produces several types of plastic pipes using the same production facilities. Management wants to accumulate and analyze costs specifically for the 1-inch plastic pipe to evaluate its profitability. In cost accounting, the 1-inch plastic pipe is classified as:

A. A cost pool

**B. A cost object**

C. A cost driver

D. A relevant cost

**Answer B:**

13. A joint arrangement whereby the parties that have joint control of the arrangement

have rights to the net assets of the arrangement.

- A. joint operation
- B. joint venture**
- C. joint arrangement
- D. elbow joint

**Answer B:**

14. Under IFRS, how is presentation currency defined?

- A. The currency of the primary environment in which the entity operates
- B. The currency in which financial statements are presented**
- C. A currency other than the functional currency
- D. The currency that uses the current rate

**Answer B:**

15. Which of the following shall IAS 41 be applied to?

- A. Bearer plants related to agricultural activity
- B. Agricultural produce at the point of harvest
- C. Land related to agricultural activity
- D. All of the above

**Answer B:**

16. Identify the wrong statement about process costing.

- A. Completed units and their costs transfer to the next department as computed.
- B. Process costs are charged to each department's Work-In-Process Inventory account.

C. Unit costs are computed only at the end of the entire manufacturing process.

D. Units not completed must be stated in terms of equivalent units.

**Answer C:**

17. PW Manufacturing Shop produces motorcycle parts. Typically, 10 pieces out of a job lot of 1,000 parts are spoiled. Costs are assigned at the inspection point, Br.50.00 per unit. Spoiled pieces may be disposed of at Br.10.00 per unit. The spoiled goods must be inventoried appropriately when the normal spoilage is detected. Job 101 requires the production of 2,500 good parts. Which of the following journal entries would be correct if the spoilage occurred due to specifications required for Job 101?

A. Work-in-Process Control      Br.100  
Materials Control      Br.100

B. Materials Control      Br.100  
Work-in-Process Control  
Br.100

C. Materials Control      Br.250  
Work-in-Process Control  
Br.250

D. Work-in-Process Control      Br.250  
Materials Control  
Br.250

**Answer C:**

18. Which of the following costs of a joint process would be allocated to the joint products?

A. Labor and overhead only

**B. Materials, labor, and overhead**

- C. Materials and labor only
- D. Prime costs less by-product values

**Answer B:**

19. Which one of the following costing systems used by the company's those produced large numbers of identical product without customer order

A. Job order

**Answer: B**

**B. Process  
costing**

C. Hybrid  
costing

D. Product  
costing

20. When fixed costs are ETB 40,000 and variable costs are 20% of the selling price, then breakeven sales are:

- A. ETB 40,000
- B. ETB 50,000**
- C. ETB 200,000
- D. ETB 100,000

**Answer: B**

21. An unfavorable variance indicates that:

- A. actual costs are less than budgeted costs
- B. actual revenues exceed budgeted revenues
- C. the actual operating income less than budgeted amount**
- D. All of these answers are correct.

**Answer:C**

22. ADW Accessory Shop started the year with total assets of \$210,000 and total liabilities of \$120,000. During the year the business recorded \$330,000 in revenues, \$165,000 in expenses, and dividends of \$60,000. The net income reported by ADW's Accessory Shop for the year

- A. \$120,000.
- B. \$150,000.
- C. \$195,000.
- D. \$165,000.

Answer: D

23. Which of the following applications of the rules of debit and credit is true?

- A. Increase rent expense with debits and the normal balance is a debit.

- B. Decrease accounts receivable with credits and the normal balance is a credit.
- C. Increase accounts payable with credits and the normal balance is a debit.
- D. Decrease cash with debits and the normal balance is a credit.

**Answer: A**

24. An error was discovered in computing and paying the wages of an employee of Allen Appliance Repair. Allen received cash from the employee for the amount of the overpayment. Which of the following entries for Allen records this transaction?

- A. Wages Payable, debit; Wages Expense, credit
- B. Wages Expense, debit; Wages Payable, credit

C. Wages Expense, debit; Cash, credit

D. Cash, debit; Wages Expense, credit

Answer: D

25. Merchandise with an invoice price of \$7,000 is purchased with terms of 2/10, n/30, FOB shipping point. Transportation costs paid by the seller were \$125. What is the cost of the merchandise purchased if payment is made during the discount period?

A. \$6,860.00

B. \$6,982.50

C. \$7,000.00

D. \$6,985.00

Answer: D

26. Suppose the interest rate on short term bonds will rise by 4% next year and the current interest rate on short term bonds is 8%. If the interest rate on two-year bonds is 9.5%, which bonds would you prefer to have been holding based on pure expectations theory?

- A. Short term bonds
- B. Two-year bonds
- C. Either short term bonds or two-year bonds
- D. Insufficient data to make choice

**Answer: A**

27. Which of the following is not a function of financial system?

- A. It provides convenient mode of payments.

B. It reduces the borrowing capacity of firms

C. It helps in transferring risks to others

D. It helps government in influencing macro-economic variables

Answer: B

28. Which of the following is not true about financial institutions?

A. They pool savings of many small SSUs into large investments.

B. They buy and sell financial claims denominated in various currencies.

C. They are places where financial assets are bought & sold

D. They reduce information costs of screening and monitoring borrowers.

Answer: C

29. Intermediaries which link buyers and sellers by buying and selling securities at stated prices are called:

- A. Hedgers
- B. finance companies
- C. brokers
- D. dealers

Answer: D

30. At 30 June 20X3, the carrying amount of an asset is \$100 000 and its tax base is \$80 000. The tax rate is 30 per cent. At 30 June 20X3, in relation to this asset, which one of the following items would be recognized?

- A. deferred tax asset of \$6000
- B. deferred tax liability of \$6000
- C. deferred tax asset of \$24 000
- D. deferred tax liability of \$24 000

**Answer: B**

31. In relation to goodwill arising from a business combination, which one of the following statements is in accordance with IFRS 3 Business Combinations?

- A. Goodwill should be measured at cost less accumulated amortization.
- B. Goodwill should be amortized on a straight-line basis over its useful life.
- C. Goodwill should be measured at cost less accumulated impairment losses.
- D. Goodwill is only tested for impairment if circumstances indicate it may be impaired.

**Answer: C**

32. In accordance with IFRS 10 Consolidated Financial Statements and IFRS 12 Disclosure

of Interests in Other Entities, a consolidated statement of financial position (or notes thereto) would not present information relating to which one of the following?

- A. investments in subsidiaries
- B. goodwill acquired by the group
- C. loans to entities not related to the group
- D. non-controlling interests' share of consolidated net assets

Answer: A

33. If an entity does not prepare interim financial reports, then:

- A. The year-end financial statements are deemed not to comply with IFRS.
- B. The year-end financial statements' compliance with IFRS is not affected.

C. The year-end financial statements will not be acceptable under local legislation.

D. Interim financial reports should be included in the year-end financial statements

**Answer: B**

34. Which financial resource is most important for not-for-profit entities?

A. Revenue from goods or services

**B. Donations and grants**

C. Profit from business activities

D. All of the above

**Answer: B**

35. A government establishes a fund to account for resources restricted for the construction of a new city hall. Which type of fund is most appropriate?

- A. Debt Service Fund
- B. Capital Project Fund**
- C. Proprietary Fund
- D. Special Revenue Fund

**Answer: B**

36. The fundamental qualitative characteristics of financial information are:

- A. Relevance and faithful representation**
- B. Relevance and comparability
- C. Faithful representation and comparability
- D. Verifiability and understandability

**Answer: A**

37. Assume at the beginning of May FERIHA Company sold merchandise, for cash. It received Br.2, 000,000 & credited sales

account by Br.2, 000,000 the amount include value added tax of 15% on sales. Based on the above data the amount of sale revenue and VAT payable respectively would be:

- A. Br.300, 000 and Br.2, 000,000
- B. Br.2, 000, 000 and Br.300, 000
- C. Br.1, 739,130 and Br.260, 870
- D. Br.260, 870 and Br.1, 739, 130

Answer: C

38. Investment property is land or buildings held for (whether by the owner or under a finance lease) \_\_\_\_\_.

- A. Ordinary course of operation
- B. Use in the production or supply of goods
- C. Sale in the ordinary course of operation
- D. To earn rental or capital appreciation

**Answer: D**

39. Contingent liability as per IPSAS 19 arises when\_\_\_\_\_.

A. there is a possible obligation to be confirmed by a future event that is outside the control of the entity

B. a present obligation may, but probable will not require an outflow of resources embodying economic benefits or service potential

C. a sufficiently reliable estimate of the amount of a present obligation cannot be made

**D. all of the above**

**Answer: D**

40. In relation to operating leases, which of the following statements is not true?

- A. The lessee has not taken on the risks and rewards incidental to ownership
- B. The lease payments are recognized as an expense in the lessee's financial statements
- C. The leased item is not shown as an asset in the lessor's financial statements
- D. The leased item is not shown as an asset in the lessee's financial statements

Answer: C

41. Valuation technique that convert future amounts to a single current amount and determines the fair value on the basis of the value indicated by current market expectations about those future amounts are an example of:

- A. The fair value approach

- B. The income approach
- C. The cost approach
- D. The market approach

Answer: B

42. Current income tax shall be recognized

- A. In profit or loss and sometimes to other comprehensive income when a tax results from a business combination
- B. In profit or loss, except for a situation when a relevant tax authority provided a tax relief.
- C. In profit or loss
- D. In profit or loss, except for some situations when it shall be recognized directly to equity or other comprehensive income.

Answer: D

43. XYZ, independent auditor, was engaged to audit the financial statements of KKK

Company's financial statement after its fiscal year had ended. XYZ neither observed the inventory count nor confirmed the receivables by direct communication with debtors but was satisfied that both were fairly stated after applying appropriate alternative procedures. XYZ's financial statement audit report most likely contained a(n).

- A. Qualified opinion.
- B. Disclaimer of opinion.
- C. Standard unqualified opinion.
- D. Modified unqualified opinion

**Answer: C**

44. A “what-if” technique that managers use to examine how an outcome will change if the original predicted data are not achieved or if

an underlying assumption changes is known as;

- A. Sensitivity analysis
- B. Margin of safety
- C. Degree of operating leverage
- D. None

Answer: A

45. Assume project X involves an outlay of Br 40,000 at 12% discount rate. The cash inflow of the project is Br 8,000, 15,000, 20,000 and 25,000 from year 1 through four. Calculate the profitability index of the project.

- A. 1.431
- B. 1.331
- C. 1.231
- D. 1.531

Answer: C

46. The minimum rate of return that an investor must receive in order to invest in a project is most likely known as the.

A. Required rate of return.

B. Real risk-free interest rate.

C. Inflation rate.

D. Effective rate

Answer: A

47. Material left over when making a product is referred to as:

A. reworked units

B. spoilage

C. scrap

D. defective units

Answer: C

48. Which of the following is not true about business income tax payers of category C?

- A. All taxpayers whose annual turnover is estimated at Br 500,000 or less.
- B. They are required to preserve all books of accounts and other records.
- C. Taxpayers shall declare taxable income between July 07 and August each year.
- D. The taxable income of Category “C” taxpayers will be determined through a standard assessment.

**Answer: B**

49. The tax rate increases as the tax base income increase under

- A. Regressive tax system
- B. Proportional tax system
- C. Progressive tax system
- D. Digressive tax system

**Answer: C**

50. Which of the following statement is correct?

A. The federal government that has no power to borrow from abroad

B. Regional governments are allowed to borrow from abroad

C. Regional governments can borrow internally from banks to meet the cash flow problem

D. Regional governments cannot borrow from federal government during budget shortfall.

Answer: C

51. On 8 August 20X3, Alpha Ltd acquired 20 000 shares in Beta Ltd in return for an issue of 10 000 of its own shares. At that date, Alpha's shares had a current market value of \$2.70 each. Shares of Beta have a current

market value of \$1.30 each. Fees paid to legal advisers for the transaction totalled \$2000. What is the amount of the consideration transferred?

- A. \$26 000
- B. \$27 000**
- C. \$28 000
- D. \$29 000

**Answer: B**

52. Which one of the following statements is consistent with the principle of control as defined by FRS 10 Consolidated Financial Statements?

- A. The investor must be exposed to a return from the investee.
- B. The investor has the ability to use its power over the investee to affect the**

investor's returns from the investee.

C. An investor's power over an investee relates to their ability to determine the amount of returns received from the investee.

D. If two or more investors have existing rights to direct different relevant activities, no investor can have control over the investee.

Answer: B

53. A company issues \$100,000 in bonds payable to finance the purchase of land for \$80,000. How should this transaction be reflected in the statement of cash flows?

A. As a \$100,000 cash inflow in the financing activities section

- B. As an \$80,000 cash outflow in the operating activities section
- C. As a \$20,000 cash inflow in the financing activities section
- D. As an \$80,000 cash outflow in the financing activities section

**Answer: A**

54. 2An entity shall account for a contract with a customer that is within the scope of IFRS 15, except:

- A. The parties to the contract have approved the contract
- B. The entity can identify each party's rights regarding the goods or services to be transferred;
- C. The contract has commercial substance

D. It is possible that the consideration will be collected

Answer: D

55. If the bonds are issued at par:

A. Selling price of the bond is greater than face value of the bond

B. There will be discount or premium on bond issuance.

C. Selling price of the bond is equal to face value of the bond

D. Selling price of the bond is less than face value of the bond

Answer: C

56. In calculating the present value of lease payments, IFRS requires the lessee should

A. Use its incremental borrowing rate in all cases.

- B. Use either its incremental borrowing rate or the interest rate implicit in the lease, whichever is higher.
- C. Use either its incremental borrowing rate or the interest rate implicit in the lease, whichever is lower.
- D. Use the interest rate implicit in the lease whenever this is reasonably determinable; otherwise use the lessee's incremental borrowing rate.

Answer: D

57. If a company reports a significant increase in accounts payable from the previous period, how might this affect its cash flow from operations?

- A. It would result in a lower cash flow from operations.

- B. It would have no effect on cash flow from operations.
- C. It would result in a higher cash flow from operations.
- D. It would result in a higher cash flow from financing

Answer: C

Use the following information for questions 58 through 60.

Lyons Company deducts insurance expense of birr 105,000 for tax purposes in 2012, but the expense is not yet recognized for accounting purposes. In 2013, 2014, and 2015, no insurance expense will be deducted for tax purposes, but birr 35,000 of insurance expense will be reported for accounting purposes in each of these years. Lyons

Company has a tax rate of 40% and income taxes payable of birr 90,000 at the end of 2012. There were no deferred taxes at the beginning of 2012.

58. What is the amount of the deferred tax liability at the end of 2012?

A. birr 42,000

B. birr 36,000

C. birr 15,000

D. birr 10,000

Answer: A

59. What is the amount of income tax expense for 2012?

A. birr 132,000

B. birr 126,000

C. birr 105,000

D. birr 90,000

**Answer: A**

60. Assuming that income tax payable for 2013 is birr 120,000, the income tax expense for 2013 would be what amount?

- A. birr 162,000
- B. birr 134,000
- C. birr 120,000
- D. birr 106,000**

**Answer: D**

61. What is the purpose of deferred taxation?

- A. To avoid paying taxes in the current year
- B. To reduce the amount of taxes paid in the future
- C. To make tax payments more predictable by smoothing out fluctuations**

D. To ensure that all taxpayers are treated fairly

**Answer: C**

62. From legal point of view which one of the following has separate legal entity?

- A. Partnership
- B. Sole proprietorship
- C. **Corporation**
- D. Manufacturing

**Answer: C**

63. Which of the following is an economic event or condition that directly changes an entity's financial condition or directly affects its results of operations

- A. Assets
- B. Liabilities
- C. **Journaling**

## D. Business transaction

Answer: D

64. Which one of the following statements is not true about the cost of capital of a firm?

- A. The minimum rate of return a firm must earn to satisfy the overall rate of return required by its investors.
  - B. The “hurdle rate” with which firm’s long-term investment projects are evaluated.
  - C. The minimum rate of return a firm must earn on invested capital if its market value should remain unchanged.
  - D. The value of a firm increases when it earns on invested capital a rate of return greater than the cost of capital
- gives me the correct answer

**Answer: C**

65. Assuming the existence of flotation costs, which of the following list includes financing sources from the least to the most expensive for a firm?

- A. Debt, new common stock, preferred stock, and retained earnings
- B. Debt, preferred stock, retained earnings, and new common stock**
- C. New common stock, retained earnings, preferred stock, and debt
- D. Preferred stock, new common stock, retained earnings, and debt

**Answer: B**

Based on the following data, answer questions 66 to 68.

You have two mutually exclusive projects: Project A and Project B. Your firm's cost of capital is 10%. The initial investment of these projects and subsequent cash inflows that occur uniformly throughout each year are summarized below:

| Year | Project A | Project B |
|------|-----------|-----------|
| 0    | 2000      | -2000     |
| 1    | 400       | 1000      |
| 2    | 500       | 800       |
| 3    | 800       | 600       |
| 4    | 900       | 200       |

66. What is the payback period of Project A and Project B respectively?

- A. 3.33 and 2.33 years
- B. 3.5 and 3.0 years

- C. 4.0 and 4.0 years
- D. 4.0 and 3.0 years

**Answer: A**

67. What is the NPV of Project A and Project B respectively?

- A. 600 and 600
- B. d. 75.78 and -45.24
- C. -7.42 and 157.6
- D. 145 and 112**

**Answer: D**

68. Which project appears to be more attractive based on payback and NPV criteria respectively?

- A. Project B and Project A**
- B. Project A and Project B
- C. Both chose project B
- D. Both chose project A

Answer: A

69. The market value approach in measuring the mix of debt and equity in a firm's capital structure is condemned for which of the following limitation?

- A. It produces a historical cost of capital that is inappropriate in evaluating current projects
- B. It produces a ridged capital structure that is unrealistic
- C. It produces unstable capital structure that is difficult to monitor as market values are constantly changing
- D. All of the above

Answer: C

70. Which of the following is/are not true about Fixed Working Capital?

- A. It is a current asset required for carrying out minimum level of business activities.
- B. It changes with time and sales volume though firms' are not expanding.
- C. It represents the current assets required on a continuing basis over the entire year.
- D. The requirements of fixed working capital increase as the business grows

**Answer: B**

71. Which of the following items is not characteristic of a process cost system?

- A. Once production begins, it continues until the finished product emerges.
- B. The products produced are heterogeneous in nature.

C. The focus is on continually producing homogeneous products.

D. When the finished product emerges, all units have precisely the same amount of materials, labor, and overhead.

**Answer: B**

72. In a process cost system, costs are assigned only:

A. To one work in process account.

B. To work in process and finished goods inventory.

C. To work in process, finished goods, and cost of goods sold.

**D. To work in process accounts.**

**Answer: D**

73. Stock Company has 2,000 units in beginning work in process, 20% complete as

to conversion costs, 23,000 units transferred out to finished goods, and 3,000 units in ending work in process  $3\frac{1}{3}\%$  complete as to conversion costs. The beginning and ending inventory is fully complete as to materials costs. Equivalent units for materials and conversion costs are, respectively:

- A. 22,000, 24,000.
- B. 24,000, 26,000.
- C. 26,000, 24,000.
- D. 26,000, 26,000

**Answer: C**

74. When fully depreciated plant asset is disposed by sale, which one is incorrect related?

- A. If Selling Price = Book Value: No gain no loss

- B. If Selling Price < Book Value: Loss
- C. If Selling Price > Book Value: Gain
- D. If book value > Selling Price: Gain

Answer: D

75. Which of the following should not be included in the physical inventory of a company?

- A. Goods held on consignment from another company.
- B. Goods shipped on consignment to another company.
- C. Goods in transit from another company shipped FOB shipping point.
- D. None of the above.

Answer: A

76. One of the following is not among usefulness of the Statement of Cash Flows

- A. help assess entity's ability to generate future cash flows
- B. help assess entity's ability to pay dividends
- C. help assess entity's financial position as of a specific date
- D. help assess cash and non-cash investing and financing transactions during the period

Answer: C

77. One is incorrect about Property, plant and equipment

- A. held for resale
- B. depreciated over estimated service life
- C. used in operations
- D. are long term in nature

Answer: A

78. Bond premium

- A. Increase interest expense
- B. Decrease interest expense**
- C. Increase interest payment
- D. Decrease bond payable

**Answer: B**

79. On April 1, the corporation bought a truck for Birr 50,000, paying Birr 4,000 in cash and signing a one-year, 12% note for the balance of the purchase price. The journal entry on April 1, includes:

- A. Credit to cash for 50,000
- B. Debit to Truck for 4,000
- C. Credit to notes payable for 46,000**
- D. Debit to truck for 46,000

**Answer: C**

80. If the corporation indicated above on question number '79' preparers financial statements on Dec 31, what adjusting entries are required?

- A. Debit interest expense for 4,500
- B. Credit interest payable for 4,140**
- C. Debit cash for 4,140
- D. Credit cash for 4,500

**Answer: B**

81. Why do auditors generally use a sampling approach to evidence gathering?

- A. Auditors are experts and do not need to look at much to know whether the financial statements are correct or not.
- B. Auditors must balance the cost of the audit with the need for precision.**

C. Auditors must limit their exposure to their client to maintain independence.

D. The auditor's relationship with the client is generally adversarial, so the auditor will not have access to all of the financial information of the company.

**Answer: B**

82. Which of the following best describes the concept of audit risk?

A. The risk of the auditor being sued because of association with an audit client.

**B. The risk that the auditor will provide an unqualified opinion on financial statements that are, in fact, materially misstated.**

C. The overall risk that a material misstatement exists in the financial statements.

D. The risk that auditors use audit procedures that are inappropriate.

**Answer: B**

83. A city receives a donation from a citizen who specifies that the principal must be invested and the earnings must be used to support operations of a city-owned recreational facility. The principal of this gift should be accounted for in which of the following funds?

A. Trust fund.

B. Special revenue fund.

**C. Permanent fund.**

D. Internal Service fund

**Answer: C**

84. Regarding interfund transactions, which of the following is not correct?

- A. Transaction between funds is not assumed to be arm's length in nature
- B. Interfund transactions must be repaid.**
- C. Failure to properly report interfund transactions will result in two funds being misstated.
- D. Interfund reimbursement is a payment by one fund to second fund to repay it for a purchase which belongs in the first fund

**Answer: B**

85. The journal entry to record the budget of a Special Revenue Fund would include:

- A. A debit to appropriations Control
- B. A debit to Estimated Revenues Control**
- C. A credit to Estimated Revenues Control
- D. None of the above

**Answer: B**

86. Alpha Ltd owns 25 per cent of the shares (and voting rights) in Beta Ltd but has no representation on the board of directors of the company. In accordance with IAS 28 Investments in Associates and Joint Ventures, Alpha

- A. will need to have board representation to ensure it has significant influence over Beta.

B. will have significant influence over Alpha if it has both 20 per cent of the share capital and board representation.

C. will be presumed to have significant influence over Beta as it holds more than 20 per cent of the voting power in that company.

D. is presumed to have significant influence over Beta because it has greater than 20 per cent of the share capital of that company

**Answer: C**

87. On 1 June 20X1 Bridget Ltd acquired an item of plant for an agreed consideration of 1,000 of its own shares. The plant was received on 1 June 20X1 and the obligation to transfer shares was to be settled on 1

August 20X1. The fair value of the plant was \$10 000 on 1 June 20X1. Bridget's share price was \$8 on 1 June 20X1 and \$9 on 30 June 20X1. In accordance with IFRS 2 Share-based Payment Bridget should

- A. remeasure the equity to \$9000 on 30 June 20X1.
- B. initially recognize the plant and equity at \$8000 on 1 June 20X1.
- C. make no entry in relation to the transaction until 1 August 20X1.
- D. initially recognize the plant and equity at \$10 000 on 1 June 20X1.

**Answer: D**

88. According to IAS 19 Employee Benefits, measurement of the long-term employee benefit obligation should be based on

- A. vested benefits at future salary rates.
- B. vested benefits at current salary rates.
- C. vested and non-vested benefits at future salary rates.
- D. vested and non-vested benefits at current salary rates.

Answer: C

89. An important phase in the capital budgeting process that involves an analysis of the economic viability of the project in question is:

- A. The proposal or idea generation phase
- B. The decision-making phase
- C. The review and analysis phase
- D. The implementation phase

**Answer: C**

90. Which of the following is least likely to cause uncertainty about the ability of an entity to continue as a going concern?

A. The entity has significant recurring operating losses

B. The entity has a court case with competitor for a minor patent infringement

C. The entity has working capital deficiencies

D. The entity has lost a major customer

**Answer: B**

91. Which level of the Conceptual Framework specifically provides the operational guidelines that determine when and how

items are included, measured, and disclosed in financial statements?

A. First Level - Objectives of Financial Reporting

B. Second Level - Qualitative Characteristics of Financial Information

C. Second Level - Elements of Financial Statements

D. Third Level - Recognition, Measurement, and Disclosure Concept

Answer: D

92. Fair value measurement according to IFRS

13 assumes the asset or liability is exchanged:

A. In a forced or distressed sale between unwilling parties.

B. In an orderly transaction between market participants at the measurement

date.

- C. Based on the historical cost originally paid by the reporting entity.
- D. At a price that results in minimal gain for the seller

**Answer: B**

93. Lower-of-cost-or-net realizable value as it applies to inventory is best described as :

- A. The method of determining cost of goods Sold .
- B. The assumption to determine inventory flow.
- C. The reporting of a loss when there is a decrease in the future utility below the original cost.
- D. The change in inventory value to net realizable value

**Answer: C**

94. In preparing bank reconciliation, Deposit in transit is

A. Added to balance per depositor's book

**B. Added to the balance per bank statement**

C. Deducted from the balance per depositor's book

D. Deducted from the balance per bank statement

**Answer: B**

95. Jefferson Company purchased a piece of equipment on January 1, 2010. The equipment cost \$60,000 and had an estimated life of 8 years and a salvage value of \$8,000. What was the depreciation expense for the

asset for 2011 under the double-declining-balance method?

- A. \$6,500.
- B. \$11,250.
- C. \$15,000.
- D. \$6,562.

Answer: B

96. What is the maturity value of a 90-day, 12% note for \$15,000?

- A. \$8,800
- B. \$15,000
- C. \$15,450
- D. \$11,200

Answer: C

97. What is the due date of a \$12,000, 90-day, 8% note receivable dated August 5?

- A. October 31
- B. November 3**
- C. November 2
- D. November 6

**Answer: B**

98. Analytical procedures used in planning an audit should focus on identifying

- A. Material weaknesses in internal control.
- B. The predictability of financial data from individual transactions.
- C. The various assertions that are embodied in the financial statements.
- D. Areas that may represent specific risks relevant to the audit.**

**Answer: D**

99. The home office ledger account in the accounting records of a branch is best described as:

- A. A revenue account
- B. **An equity account**
- C. A deferred revenue account
- D. None of the foregoing

**Answer: B**

100. SKY Inc. issued 200,000 ordinary shares with a par value of ETB 8 per share, receiving total cash proceeds of ETB 2,200,000. This transaction will:

- A. Increase Cash by ETB 2,200,000 and increase Share Capital by ETB 2,200,000.

B. Increase Cash by ETB 2,200,000,  
increase Share Capital by ETB 1,600,000,  
and increase Share Premium by ETB  
600,000.

C. Increase Service Revenue by ETB  
2,200,000 and increase Share Capital by  
ETB 2,200,000.

D. Increase Cash by ETB 2,200,000 and  
increase Retained Earnings by ETB  
2,200,000.

Answer: B

**Wolaita Sodo University College of Business  
and Economics**

Department of Accounting and Finance

Model exam for UG regular students

Instruction: Choose the best answer among the  
alternatives

1) In the definition of accounting, which  
activities requires preparing accounting reports  
that

requires analyzing and interpreting such  
reports?

a) Recording b) Identifying c) Measurement d)  
Communication

Answer: D

2) Which one of the following stakeholder is different from others?

- a) Lenders b) Shareholders c) Governments d) Controllers

Answer: D

3) \_\_\_\_\_ is the area of accounting that serves the decision-making needs of internal users.

- a) Financial Accounting
- b) Non-profit-Accounting
- c) Managerial Accounting
- d) Tax Accounting

Answer: C

4) Qualitative characteristics of accounting information include the following except;

- a) Relevant b) Reliability c) Comparable d)

Measurement

Answer: D

5) Which principle of accounting information is based on actual cost with a potential for subsequent adjustments to market?

- a) Measurement principle
- b) Full disclosure principle
- c) Revenue recognition principle
- d) Materiality constraints

Answer: A

| <b>S.No.</b> | <b>Courses for the model Exam</b> | <b>Question order</b> |
|--------------|-----------------------------------|-----------------------|
| 1            | Fundamentals of Accounting I      | 1-10                  |

|   |                                            |       |
|---|--------------------------------------------|-------|
| 2 | Fundamentals<br>of Accounting II           | 11-20 |
| 3 | Intermediate<br>Financial<br>Accounting I  | 21-30 |
| 4 | Intermediate<br>Financial<br>Accounting II | 31-40 |
| 5 | Cost and<br>Management<br>Accounting I     | 41-50 |
| 6 | Cost and<br>Management<br>Accounting II    | 51-60 |
| 7 | Financial                                  | 61-70 |

|              |                                                      |        |
|--------------|------------------------------------------------------|--------|
|              | Management I                                         |        |
| 8            | Financial<br>Management II                           | 71-80  |
| 9            | Financial Markets<br>and Institutions                | 81-90  |
| 10           | Accounting for<br>Public sector and<br>civil society | 91-100 |
| <b>Total</b> |                                                      |        |

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6) \_\_\_\_\_prescribes that a company records the expenses it incurred to generate the revenue reported.

a) Matching principle

- b) Going –concern assumption
- c) Monetary unit assumption
- d) Business entity assumption

Answer: A

7) Which one of the following statement about sole proprietorship business is incorrect?

- a) No special legal requirements.
- b) It is a separate entity for accounting purposes.
- c) It has unlimited liability.
- d) It has separate legal entity from its owner.

Answer: D

8) Which types of partnership protects an innocent partner from the negligence of another partner yet all partners remain responsible for partnership debts?

- a) General partnership
- b) Limited liability partnership
- c) Limited liability company
- d) Unlimited liability partnership

Answer: B

9) A company's governance system involved to reduce the risk of accounting fraud and increase confidence in accounting reports includes one of the following except;

- a) Owners b) Managers c) Board of directors d)

Disclosure

Answer: D

10) \_\_\_\_\_ is the elements of the accounting equation that claims company obligations to provide assets, products or services to others.

a) Equity b) Residual claim c) Payables d)

Owner investment

Answer: C

11) Which one following is correct about the chronological order of corporate structure?

a) Stockholders Board of Directors President Employees of corporation.

b) Board of director stockholders employees of corporation president.

c) Employees of corporation president board of director stockholders.

d) President board of director stockholders employees of corporation.

Answer: A

12) Which of the following should not be

included in the physical inventory of a company?

- a) Goods held on consignment from another company.
- b) Goods shipped on consignment to another company.
- c) Goods in transit from another company shipped FOB shipping point.
- d) None of the above.

Answer: A

13) Which of these would cause the inventory turnover ratio to increase the most?

- a) Increasing the amount of inventory on hand.

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- b) Keeping the amount of inventory on hand

constant but increasing sales.

c) Keeping the amount of inventory on hand constant but decreasing sales.

d) Decreasing the amount of inventory on hand and increasing sales.

Answer: D

14) Songbird Company has sales of \$150,000 and cost of goods available for sale of \$135,000.

If

the gross profit rate is 30%, the estimated cost of the ending inventory under the gross profit method is:

a. \$15,000.

b. \$30,000.

c. \$45,000.

d. \$75,000.

Answer: B

15) . In periods of rising prices, LIFO will produce:

- a) Higher net income than FIFO.
- b) The same net income as FIFO.
- c) Lower net income than FIFO.
- d) Higher net income than average costing.

Answer: C

16) In a perpetual inventory system,

- a) LIFO cost of goods sold will be the same as in a periodic inventory system.
- b) Average costs are based entirely on unit cost averages.
- c) A new average is computed under the

average-cost method after each sale.

d) FIFO cost of goods sold will be the same as in a periodic inventory system.

Answer: D

17) . Which of the following is not an element of the fraud triangle?

- a) Rationalization
- b) Financial pressure
- c) Segregation of duties
- d) Opportunity

Answer: C

18) Which of the following was not a result of the Sarbanes Oxley Act?

- a) Companies must file financial statements with the Internal Revenue Service.

b) All publicly traded companies must maintain adequate internal controls.

c) The Public Company Accounting Oversight Board was created to establish auditing standards and regulate auditor activity.

d) Corporate executives and board of directors must ensure that controls are reliable and effective and they can be fined or imprisoned for failure to do so.

Answer: A

19) . A company writes a check to replenish a \$100 petty cash fund when the fund contains receipts of \$94 and \$3 in cash. In recording the check, the company should:

a) Debit Cash Over and Short for \$3.

b) Debit Petty Cash for \$94.

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c) Credit Cash for \$94.

d) Credit Petty Cash for \$3

Answer: A

20) In bank reconciliation, deposits in transit are:

a) Deducted from the book balance.

b) Added to the book balance.

c) Added to the bank balance.

d) Deducted from the bank balance.

Answer: C

21. It is an independent group of experts responsible for the development of IFRS.

A. International Accounting Standards Board

B. International Accounting Standards

Committee

C. IFRS Foundation

D. International Accounting Standards

Committee Foundation

Answer: A

22. In measuring the price (or fair value) in an orderly transaction, how should an entity account

for transaction costs?

A. Adjust fair value for transaction costs

B. Ignore transaction costs when measuring fair value

C. The decision is asset specific

D. All of the above is possible

Answer: B

23. A law firm has billed their clients for services performed. They subsequently received payments from their clients. What entry will the law firm make upon receipt of the payments?

A. Debit Unearned Service Revenue and credit Service Revenue

B. Debit Cash and credit Accounts Receivable

C. Debit Accounts Receivable and credit Service Revenue

D. Debit Cash and credit Service Revenue

Answer: B

24. Carrying amount is the amount at which an asset is recognized \_\_\_\_\_.

- A. After deducting any accumulated depreciation (amortization)
- B. After deducting accumulated impairment losses, if any
- C. Before deducting accumulated impairment losses, if any
- D. A and B

Answer: D

25. Which of the following terms does this statement define: “the amount by which the carrying amount of an asset or a cash-generating unit exceeds its recoverable amount”?

- A. Depreciation
- B. Fair value

C. Impairment loss

D. Value in use

Answer: C

26. Which of the following is not the characteristics of intangible asset

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A. They are identifiable

B. They lack physical existence

C. They are not monetary assets

D. They are monetary assets

Answer: D

27. Which of the following does not define investment property?

A. Property held to earn rentals

B. Property held for capital appreciation

C. Property used in the production or supply of goods or services

D. Indefinite life

Answer: C

28. Which standard covers non-current assets held for sale and discontinued operations?

A. IAS 38 B. IAS 41 C. IFRS 5 D. IFRS 6

Answer: C

29. On 31 December 2015, a company has partly-completed inventory with a cost to date of

ETB 26,300. It is expected that further costs of ETB 8,900 will be incurred in order to complete the inventory. It will then be sold for ETB 47,500. Selling costs will be ETB

2,000. The cost and the net realizable value of this inventory at 31 December 2015 are:

A. ETB35,200 and ETB45,500

B. ETB35,200 and ETB47,500

C. ETB26,300 and ETB36,600

D. ETB26,300 and ETB38,600

Answer: C

30. James & Arun Ltd. is purchasing a second-hand grinding machine from a competitor who has gone bankrupt. James & Arun Ltd. will incur the following costs: Agreed price to be paid to vendor, ETB 16,000; dismantling the machine at its current location, ETB 1,300; Transportation to James & Arun's factory, ETB 700; Machine refurbishment costs prior

to re-installation, ETB 350 and; Re-installation, ETB 550. According to IAS 16 -

'Property, Plant and Equipment', the total included in non-current assets (PPE) in respect of the machine should be:

- A. ETB 17,600
- B. ETB 16,550
- C. ETB 17,050
- D. ETB 18,900

Answer: D

31. Ability to refinance a short-term debt on a long-term basis is evidenced by;

- A. Actually having issued other short-term debt to replace the short-term debt after the date of the balance sheet but before it is issued.

B. Planning to issue equity securities to replace the short-term debt after the date or the balance sheet

C. Having entered into a firm financing contract that will enable the debtor to refinance the short-term debt when it becomes due

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D. All of the above

Answer: C

32. Kebede's a retail store operating in a state with a 5% retail sales tax. The state law provides that the retail sales tax collected during the month must be remitted to the state during the following month. If the amount collected is remitted to the state on or before

the twentieth day of the following month the retailer may keep 2% of the sales tax collected. On April 10, Kebede's remitted Br.16, 905 sales taxes to the state tax division for March retail sales. What was the amount of the March retail sales subject to sales tax?

- A. Br. 331,340
- B. Br. 331,480
- C. Br. 338,100
- D. Br. 345,000

Answer: D

33. On July 1, year 2, Mesheshaw Corporation issued Br 1,000,000 face amount, 10%, 20-year bonds with detachable stock warrants attached for Br 1,060,000. Each Br 1,000 bond

had a detachable stock warrant enabling the acquisition of one share of Mesheshaw's Br 50 par common stock for Br 60. Immediately after issuance of the bonds, market values of Mesheshaw's securities were as follows:

|                               |          |
|-------------------------------|----------|
| 10% bonds (ex-warrants) ..... | Br 1,040 |
| Stock warrants .....          | 20       |
| Br 50 par common stock .....  | 56       |

In the journal entry to record issuance of the bonds, Mesheshaw Corporation credits premium on Bonds payable for:

A. Br 0 B. Br 20,000 C. Br 40,000 D. Br 60,000

Answer: C

34. On January 2, year 6, Dula Company acquired (as a long-term investment) 5,000 shares of Kaleb Company's common stock at Br 60 a share. The 5,000 shares were less than 10% of Kaleb's outstanding common stock. On December 15, Year 6, when the market value of Kaleb common stock was Br 47 a share, Dula determined that the market value decline was permanent. The market value of Kaleb common stock was Br 46 a share on December 31, Year 6.

The Realized Loss on Value of Long-term investments ledger account balance for Dula Company on December 31, Year 6, is:

Br 0 B. Br 5,000 C. Br 65,000 D. Br 70,000

Answer: D

35. The growth in leasing indicates that it often has some genuine advantages over owning property, such as:

A. Protection against obsolescence

B. Flexibility

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C. Less costly financing

D. All of the above

Answer: D

36. Realization of revenue refers to:

A. The timing of its recognition in the accounting records

B. The knowledge that it has been earned

C. Its receipt in the form of cash

D. Its recognition in an adjusting entry at the end of an accounting period

Answer: A

37. Which of the following is the most widely accepted evidence of revenue realization by a manufacturing enterprise?

A. The process of production of products

B. The completion of production of products

C. The sale and delivery of products to customers

The receipt of cash from the sale of finished products

Answer: C

38. On November 1, Year 3, Tarekegn

Company acquired machinery at a cost of Br.150,000. The machinery was being depreciated by the double-declining-balance method over an economic life of 10 years, with no residual value. On November 1, Year 5, Tarekegn decided to change to the straight-line method of depreciation. Disregarding income taxes, the cumulative effect of this accounting change is:

A. Br.0 B. Br.24, 000 C. Br.28, 200 D. Br. 54, 000

Answer: B

39. The statement of cash flows provides information to help investors, creditors, and

others

assess the following, except;

A. The entity's ability to generate future cash flows

B. The entity's ability to pay dividends and meet obligations

C. The cash and non-cash investing and financing transactions during the period

D. None of the above

Answer: D

40. Biological assets or agricultural produce are recognized when:

A. Entity controls the asset as a result of a past event

B. Probable that future economic benefit will

flow to the entity;

C. Fair value or cost of the asset can be measurement reliably

D. All of the above

Answer: D

41. Which one of the following is/are not true about cost accounting?

A. Cost accounting is guided by the Fair value principle of IFRS

B. Cost accounting is used for planning, directing and controlling activities of the management

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C. Cost accounting is providing cost information about cost objects

D. Cost accounting is an intermediate between managerial and financial accounting

Answer: A

42. If one of the costs incurred for the production of Auto in Auto Assembling company is motor and each auto requires one motor costing birr 15,000 each. Hence which one of the following is/are not true about the cost of motor?

A. Direct cost for the auto

B. Period cost for the auto

C. Variable cost

D. Manufacturing cost

Answer: B

43. The term used to describe the assignment of

direct costs to cost objects is:

- A. Cost allocation
- B. Cost assignment
- C. Cost tracing
- D. Costing system

Answer: C

44. Hawassa Industrial Park at the beginning of the year 2022, planned to incur direct material and direct labor costs of birr 100 million and birr 50 million respectively. The total selling, general and administrative costs are birr 8,000,000 and manufacturing overhead cost is 30%

of the total non manufacturing costs. Hence, what is the prime and conversion costs

respectively of the company for the year 2022?

A. Birr 150 million and birr 52.4 million

B. Birr 150 million and birr 8 million

C. Birr 50 million and birr 8 million

D. Birr 152.4 million and birr 8 millio

Answer: A

45. Under Q 4, what is the product and period cost of the company for the year 2014 respectively?

A. Birr 150 million and birr 8 million

B. Birr 150 million and birr 2.4 million

C. Birr 152.4 million and birr 8 million

D. Birr 800,000 and birr 150 million

Answer: C

46. A costing system applied for products based

on consumers' requirements and specifications is:

A. Job costing B. Batch costing C. Process costing D. Operation costing

Answer: A

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47. In the Job order costing systems which one of the following is not true?

A. Material requisition form is the source document to record direct materials cost to a job

B. When direct material and direct labor costs are incurred to a job, the amount is debited to work in process account

C. When production is completed the overhead

cost is allocated to a job

D. Finished goods inventory account is debited to the cost of units sold

Answer: D

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48. Process costing system is recommended to determine the cost of which company/ies product?

A. Furniture manufacturer

B. Flour, oil and chemical manufacturer

C. Textile company producing different types of textile

D. Advertising and promotion company

Answer: B

49. Physical measurement unit approach of joint

cost allocation is used if

- A. There is byproduct in the joint production process
- B. If products are sellable at split off point
- C. If joint products have common physical measurement unit
- D. B and C

Answer: C

50. Variable costing and absorption costing approaches consider product cost as

- A. All manufacturing costs in both cases
- B. Variable manufacturing costs only in both cases
- C. Direct manufacturing and indirect variable manufacturing costs in variable costing

D. Direct manufacturing costs in absorption costing

Answer: C

51. Which one of the following is/are true about the relevance concept:

A. Expected future revenue and cost that can create difference between alternatives

B. All variable costs are relevant and all fixed costs are irrelevant

C. The decision should be based on unit cost rather than total cost

D. A and B

Answer: A

52. All are true about the issues that should be considered in making or buying decision,

except:

- A. All variable and fixed costs of making
- B. Outsourcing cost
- C. The avoidable fixed costs
- D. The opportunity of producing another product with the freed capacity

Answer: A

53. Which one of the following is/are true about volume of production to achieve the target operating income:

- A. It is the break even volume
- B. It is the volume of production beyond the breakeven point and under the practical capacity level
- C. It is the volume of production beyond the

breakeven point and above the practical capacity level

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D. It is the volume of production below the breakeven point

Answer: B

54. All are true about flexible budget and static budget except

A. Flexible budget is a hypothetical budget that a company would have been prepared at the beginning of a period if the company had forecast its actual output correctly

B. The starting point in static budget is production budget

C. Both flexible and static budget are using

budgeted cost and revenue data

D. Flexible budget is flexed static budget for actual output

Answer: B

55. Which one of the following is not true about unfavorable static budget operating income variance

A. It might be due to unfavorable revenue and cost variance

B. It might be due to unfavorable revenue variance outweighing favorable cost variance

C. It might be due to unfavorable cost variance outweighing favorable revenue variance

D. It might be due to favorable revenue variance outweighing unfavorable cost variance

Answer: D

56. Assume for Hashu Flour factory for the month ended December 31, 2022: direct materials cost, direct manufacturing labor cost, and total manufacturing overhead

(30% variable and 70% fixed) were birr 300,000; 50,000 and 200,000 respectively.

The total unit of production during the month was 10,000 quintals of flour. Hence, what will be the unit product cost as per variable and absorption costing approaches respectively?

A. Birr 55 and 41 respectively

B. Birr 550,000 and 410,000 respectively

C. Birr 41 and 75 respectively

D. Birr 490,000 and 550,000 respectively

Answer: C

57. Assume the available production capacity of Addis Mojo Oil Factory is to produce up to 100,000 liters of oil per week. The current production is only up to 60,000 liters per week. The regular selling price is birr 40 per liter and the Factory is now incurring birr 25 per liter variable cost and birr 3,000 fixed cost per week. The regular customers of the Factory are located in Ethiopia. ABC merchandiser found in Djibouti asked Addis Mojo to supply up to 35,000 liters for the coming month at the special order price of birr 30 per liter. Addis Mojo is

not expected to incur any more cost for the facilities to fill the special order.

With the available excess capacity how many liters of oil can Addis Mojo supply per week and comparing the excess capacity should the factory accept or reject the special order from ABC?

A. 35,000 liters and accept the special order  
1,050,000

B. 0 liters and reject the special order

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C. 85,000 liters and accept the special order

D. 40,000 liters and accept the special order

Answer: D

58. Based on the information provided on

question Number 7, what is the contribution margin from the special order if Addis Mojo accepts the special order and according to this result should the Factory accept or reject the special order?

- A. Birr 173,250 and accept the special order
- B. Birr 175,000 and accept the special order
- C. Birr 172,000 and accept the special order
- D. -Birr 173,250 and reject the special order

Answer: B

59. Assume Derba Cement Factory during the year 2022 has been selling its product at birr 200 per quintal. For the coming period Derba assumed its competitors such as Muger Cement Factory will reduce their price

by 3%. The Factory expects to reduce price by 3.5% and wants to earn 30% operating income up on each unit sale. Hence what is the target price and target costs per quintal for Derba for the coming period respectively?

- A. Birr 194 and 135.8
- B. Birr 200 and 140
- C. Birr 206 and 144.2
- D. Birr 193 and 135.1

Answer: D

60. Favorable sales volume variance in cost is :

- A. Cost saving due to the decline in actual price than the expected one
- B. Cost saving due to the decline in actual

quantity utilized than the expected one

C. Cost saving due to the decline in actual quantity produced than the expected one

D. Cost increment due to the decline in actual quantity produced than expected one

Answer: C

61. Choose the best answer to explain the analysis of the current ratio.

A. A high ratio shows a company's capabilities to pay their current liabilities with their current assets.

B. A high ratio shows a company's capabilities to pay their current assets with their current liabilities

C. A low ratio shows a company's capabilities to

pay their current liabilities with their  
current assets

D. A low ratio shows a company's capabilities  
to pay their current assets with their  
current liabilities.

Answer: A

62. "Shareholder wealth" in a firm is  
represented by:

A. The number of people employed in the firm.

B. The book value of the firm's assets less the  
book value of its liabilities.

C. The amount of salary paid to its employees.

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D. The market price per share of the firm's  
common stock

Answer: D

63. A(n) \_\_\_\_\_ would be an example of a principal, while a(n) \_\_\_\_\_ would be an example of an agent.

- A. Shareholder; manager
- B. Manager; owner
- C. Accountant; bondholder
- D. Shareholder; bondholder

Answer: A

64. Which one of the following principles of financial management is/are shouldn't be considered in investment decision.

- A. Risk return trade off
- B. Incremental cash flow
- C. Time value of money

D. None of the above

Answer: D

65. The financial managers of corporations use the concept of time value of money to;

A. Make business decisions.

B. Compare cash flows of different projects.

C. Determine the price of common stock.

D. All of the above

Answer: D

66. Which of the following statements is FALSE?

A. A dollar received one year from now will be worth more than a dollar received today.

B. On monthly compounding loans, the annual percentage yield will be less than the

nominal or quoted rate of interest.

C. Compounding essentially means earning interest on interest on an initial balance.

D. Perpetuities pay an equal payment forever

Answer: A

67. Higher \_\_\_\_\_ is associated with greater probability of higher return.

A. Capital B. Risk C. Investment D. None

Answer: B

68. Cost of capital is \_\_\_\_\_.

A. Lesser than the cost of debt capital.

B. Equal to the last dividend paid to the equity shareholders.

C. Equal to the dividend expectations of equity shareholders for the coming year.

D. None of the above.

Answer: D

69. Mr.Lema purchased 100 stocks of futura informatics ltd, for Br 21 on March 15, sold for

Br 35 on March 14 next year. In the company paid a dividend of Br 2.50 per sharethemAnils holding period return is \_\_\_\_\_.

A. 11.90%.

B. 45.40%.

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C. 66.70%.

D. 78.60%.

Answer: D

70. What is the present value of a Br 1,000 ordinary annuity that earns 8% annually for an infinite number of periods?

A. Br 80

B. Br 800

C. Br 1000

D. Br 12,500

Answer: D

71. Which one of the following statement is not true about dividend irrelevance theory?

A. Dividend policy has no effect on either the price of a firm's stock or its cost of capital.

B. Firm's value is determined only by its basic earning power and its business risk.

C. The value of the firm depends only on the income produced by its assets.

D. Dividend policy has effect on either the price of a firm's stock or its cost of capital

Answer: D

72. Modigliani and Miller, recognizing that dividends do somehow affect stock prices, suggest that positive effects of dividend increases are attributable

A. Directly to the dividend policy.

B. Directly to the optimal capital structure.

C. Not to the informational content but to the consistency in the payment of dividends.

D. Not to the dividend itself but to the informational content of the dividends with

respect to future earnings.

Answer: D

AMAZ company expects to earn \$4.4 million in 2009 and 50% of this amount (or \$2.2 million) has been allocated for distribution to common shareholders. There are 1.1 million shares outstanding and the market price is \$20 a share. AMAZ believes that it can use the \$2.2 million to repurchase 100,000 of its shares through a tender offer at \$22 a share or pay a cash dividend of \$2 share.

73. Based on the given information above, what are the earnings per share and price earning ratio of the company respectively?

A. \$4 and \$5 B. \$4 and \$ 6 C. \$4 and \$2 D. \$4

and \$11

Answer: A

74. One of the following Provides detailed information about credit reports except?

A. A summary balance sheet and income statement.

B. A number of key ratios with trend information.

C. The firm's suppliers that telling it have recently failed to make any payments.

D. A verbal description of the physical condition of the firm's operations

Answer: C

75.If ABC Corporation buyback 10% of its outstanding common stock from the secondary market, the result would be

- A. A decline in EPS.
- B. An increase in cash.
- C. A decrease in total assets.
- D. An increase in the number of stockholders.

Answer: C

76. Which of the following examples best represents a passive dividend policy

- A. The firm sets a policy such that the proportion of dividends paid from net income remains constant.
- B. The firm pays dividends with what remains of net income after taking acceptable

investment projects.

C. The firm sets a policy such that the quantity (dollar amount per share) of dividends paid from net income remains constant.

D. All of the above are examples of various types of passive dividend policies

Answer: B

77. Consider the following two statements:

1. A company is experiencing ordinary growth and has high liquidity and much unused borrowing capacity.

2. A company with volatile and high business risk.

For each of the companies described above, would you expect it to have a high or low

dividend payout ratio?

A. Low dividend payout ratio for both companies

B. High dividend payout ratio for both companies

C. Low dividend payout ratio for the company mentioned in Statement (I) and high dividend payout the ratio for the company mentioned in Statement (II)

D. High dividend payout ratio for the company mentioned in Statement (I) and low dividend payout ratio for the company mentioned in Statement (II)

Answer: D

78. Consider the following two statements:

(I) A company with a large portion of inside ownership, all of whom are high-income individuals.

(II) A growth company with an abundance of good investment opportunities.

For each of the companies described above, would you expect it to have a high or low dividend payout ratio?

A. Low dividend payout ratio for both companies

B. High dividend payout ratio for both companies

C. Low dividend payout ratio for the company mentioned in Statement (I) and high dividend payout ratio for the company

mentioned in Statement (II)

D. High dividend payout ratio for the company mentioned in Statement (I) and low dividend payout ratio for the company mentioned in Statement (II)

Answer: D

79. An objective of cash management is to

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A. Maximize the cash balance to avoid the risk of illiquidity

B. Minimize the cash balance to maximize the return from the idle cash

C. Invest cash for a return while retaining sufficient liquidity to satisfy future needs

D. Reserve as much cash as possible for

potential investment opportunities

Answer: B

80. Proponents of the dividend irrelevance theory argue that, all else being equal, an investor's required return and the value of the firm are unaffected by dividend policy, for all of the following reasons, except

A. The firm's value is determined solely by the earning power and risk of its assets.

B. Investors are generally risk averse and attach less risk to current as opposed to future dividends or capital gains.

C. If dividends do affect value, they do so solely because of their information content, which signals managements' earnings

expectations.

D. A clientele effect exists which causes a firm's shareholders to receive the dividends that they expect

Answer: B

81. Markets in which funds are transferred from those who have excess funds available to those who have a shortage of available funds are called

- A. Commodity markets.
- B. Funds markets.
- C. Derivative exchange markets.
- D. Financial markets.

Answer D

82. The price paid for the rental of borrowed

funds is commonly referred to as the

- A. Inflation rate.
- B. Exchange rate.
- C. Interest rate.
- D. Aggregate price level.

Answer C

83. Which of the following are securities?

- a. A certificate of deposit
- b. A share of Texaco common stock
- c. A Treasury bill
- d. All of the above

Answer D

84. Long-term debt and equity instruments are traded in the \_\_\_\_\_ market.

- A. Primary

B. Secondary

C. Capital

D. Money

Answer C

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85. A corporation acquires new funds only when its securities are sold in the

A. Secondary market by an investment bank.

B. Primary market by an investment bank.

C. Secondary market by a stock exchange broker.

D. Secondary market by a commercial bank.

Answer: B

86. Intermediaries who are agents of investors and match buyers with sellers of securities

are called

A. Investment bankers.

B. Traders.

C. Brokers.

D. Dealers.

Answer C

87. A loan that requires the borrower to make the same payment every period until the maturity date is called a

A. Simple loan.

B. Fixed-payment loan.

C. Discount loan.

D. Same-payment loan.

Answer B

88. Which theory of the term structure proposes

that bonds of different maturities are not substitutes for one another?

- A. Market segmentation theory
- B. Pure expectations theory
- C. Liquidity premium theory
- D. Separable markets theory

Answer A

89. The riskiest capital market security is

- A. Preferred stock.
- B. Common stock.
- C. Corporate bonds.
- D. Treasury bonds.

Answer B

90. All of the following are principles of the regulation of the financial markets and

institutions; EXCEPT.

A. Competitive neutrality C. Accountability

|                                            |                            |
|--------------------------------------------|----------------------------|
| B. Cost<br>ineffective<br>ness<br>Answer D | D.<br>Deposit<br>Insurance |
|--------------------------------------------|----------------------------|

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91. Governmental units that engage in self-supporting activities by providing goods and services to the public on a user charge basis should be accounted for in what fund category?

A. Governmental Fund

B. Any Non-expendable fund

C. Proprietary Fund

D. Fiduciary Fund

Answer C

92. Which of the following is not a budgetary account?

A. Encumbrance

B. Appropriation

C. Expenditure

D. Disbursement

Answer D

93. Which of the following is not true about Governmental accounting

A. Use separate funds to account for various activities

B. Incorporate budgetary accounts into the

accounting system

C. Measure the amount of profit earned during a fiscal year

D. Focus on flows of current financial resources

Answer C

94. Within a fund, which of the following results from using the current financial resources measurement focus?

A. Capital assets will be depreciated

B. Property taxes will be recognized on the cash basis of accounting

C. A liability must be reported for unsettled claims, provided payment ultimately will be made

D. Long-term assets and liabilities will not be

recorded in the fund

Answer D

95. The General Fund levies property taxes in the amount of Birr 1,000,000 for calendar year 2009. It expects to collect Birr 950,000 during the year, Birr 30,000 in the first 60 days of the next year, and Birr 15,000 during the rest of the next year. It does not expect to collect the remaining Birr 5,000. How much property tax revenue should it recognize for the year 2009?

A. Birr 1,000,000

B. Birr 980,000

C. Birr 995,000

D. Birr 990,000

Answer B

96. What is the purpose of a debt service fund?

A. To accumulate resources for paying interest on all debt issued by the government

B. To account for all outstanding long-term and short-term debt issued by the government

C. To account for outstanding general long-term debt

D. To accumulate resources for paying principal and interest on general long-term debt

Answer D

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97. A local government sells bonds having a

face value of Birr 1, 000,000 at par. The bond proceeds will be accounted for in a Capital Projects Fund. What account will be credited to offset the debit to cash?

- A. Other financing sources
- B. Citizens equity
- C. Fund balance
- D. Bonds payable

Answer A

98. A long-term loan from the General Fund to another fund is reported in the General Fund as:

- A. Due from other fund
- B. Due to other fund
- C. Advance to other fund

D. Advance from other fund

Answer C

99. Upon ordering supplies a government should

A. Debit encumbrances and credit reserve for encumbrances

B. Debit reserve for encumbrances and credit encumbrances

C. Debit expenditures and credit encumbrances

D. Debit expenditures and credit vouchers payable

Answer A

100. For which of the following funds would a government be least likely to record its annual budget and thereby integrate it into its

accounting system?

A. General fund

B. Special revenue fund

C. Capital project fund

D. Enterprise fund

Answer: D

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**22**

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**Wolaita Sodo University College of Business  
and Economics**

Department of Accounting and Finance

Model exam for UG regular students

Instruction: Choose the best answer among the  
alternatives

1) In the definition of accounting, which  
activities requires preparing accounting reports  
that

requires analyzing and interpreting such  
reports?

a) Recording b) Identifying c) Measurement d)  
Communication

Answer: D

2) Which one of the following stakeholder is different from others?

- a) Lenders b) Shareholders c) Governments d) Controllers

Answer: D

3) \_\_\_\_\_ is the area of accounting that serves the decision-making needs of internal users.

- a) Financial Accounting
- b) Non-profit-Accounting
- c) Managerial Accounting
- d) Tax Accounting

Answer: C

4) Qualitative characteristics of accounting information include the following except;

- a) Relevant b) Reliability c) Comparable d)

Measurement

Answer: D

5) Which principle of accounting information is based on actual cost with a potential for subsequent adjustments to market?

- a) Measurement principle
- b) Full disclosure principle
- c) Revenue recognition principle
- d) Materiality constraints

Answer: A

| <b>S.No.</b> | <b>Courses for the model Exam</b> | <b>Question order</b> |
|--------------|-----------------------------------|-----------------------|
| 1            | Fundamentals of Accounting I      | 1-10                  |

|   |                                            |       |
|---|--------------------------------------------|-------|
| 2 | Fundamentals<br>of Accounting II           | 11-20 |
| 3 | Intermediate<br>Financial<br>Accounting I  | 21-30 |
| 4 | Intermediate<br>Financial<br>Accounting II | 31-40 |
| 5 | Cost and<br>Management<br>Accounting I     | 41-50 |
| 6 | Cost and<br>Management<br>Accounting II    | 51-60 |
| 7 | Financial                                  | 61-70 |

|              |                                                      |        |
|--------------|------------------------------------------------------|--------|
|              | Management I                                         |        |
| 8            | Financial<br>Management II                           | 71-80  |
| 9            | Financial Markets<br>and Institutions                | 81-90  |
| 10           | Accounting for<br>Public sector and<br>civil society | 91-100 |
| <b>Total</b> |                                                      |        |

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6) \_\_\_\_\_prescribes that a company records the expenses it incurred to generate the revenue reported.

a) Matching principle

- b) Going –concern assumption
- c) Monetary unit assumption
- d) Business entity assumption

Answer: A

7) Which one of the following statement about sole proprietorship business is incorrect?

- a) No special legal requirements.
- b) It is a separate entity for accounting purposes.
- c) It has unlimited liability.
- d) It has separate legal entity from its owner.

Answer: D

8) Which types of partnership protects an innocent partner from the negligence of another partner yet all partners remain responsible for partnership debts?

- a) General partnership
- b) Limited liability partnership
- c) Limited liability company
- d) Unlimited liability partnership

Answer: B

9) A company's governance system involved to reduce the risk of accounting fraud and increase confidence in accounting reports includes one of the following except;

- a) Owners b) Managers c) Board of directors d)

Disclosure

Answer: D

10) \_\_\_\_\_ is the elements of the accounting equation that claims company obligations to provide assets, products or services to others.

a) Equity b) Residual claim c) Payables d)

Owner investment

Answer: C

11) Which one following is correct about the chronological order of corporate structure?

a) Stockholders Board of Directors President Employees of corporation.

b) Board of director stockholders employees of corporation president.

c) Employees of corporation president board of director stockholders.

d) President board of director stockholders employees of corporation.

Answer: A

12) Which of the following should not be

included in the physical inventory of a company?

- a) Goods held on consignment from another company.
- b) Goods shipped on consignment to another company.
- c) Goods in transit from another company shipped FOB shipping point.
- d) None of the above.

Answer: A

13) Which of these would cause the inventory turnover ratio to increase the most?

- a) Increasing the amount of inventory on hand.

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- b) Keeping the amount of inventory on hand

constant but increasing sales.

c) Keeping the amount of inventory on hand constant but decreasing sales.

d) Decreasing the amount of inventory on hand and increasing sales.

Answer: D

14) Songbird Company has sales of \$150,000 and cost of goods available for sale of \$135,000.

If

the gross profit rate is 30%, the estimated cost of the ending inventory under the gross profit method is:

a. \$15,000.

b. \$30,000.

c. \$45,000.

d. \$75,000.

Answer: B

15) . In periods of rising prices, LIFO will produce:

- a) Higher net income than FIFO.
- b) The same net income as FIFO.
- c) Lower net income than FIFO.
- d) Higher net income than average costing.

Answer: C

16) In a perpetual inventory system,

- a) LIFO cost of goods sold will be the same as in a periodic inventory system.
- b) Average costs are based entirely on unit cost averages.
- c) A new average is computed under the

average-cost method after each sale.

d) FIFO cost of goods sold will be the same as in a periodic inventory system.

Answer: D

17) . Which of the following is not an element of the fraud triangle?

- a) Rationalization
- b) Financial pressure
- c) Segregation of duties
- d) Opportunity

Answer: C

18) Which of the following was not a result of the Sarbanes Oxley Act?

- a) Companies must file financial statements with the Internal Revenue Service.

b) All publicly traded companies must maintain adequate internal controls.

c) The Public Company Accounting Oversight Board was created to establish auditing standards and regulate auditor activity.

d) Corporate executives and board of directors must ensure that controls are reliable and effective and they can be fined or imprisoned for failure to do so.

Answer: A

19) . A company writes a check to replenish a \$100 petty cash fund when the fund contains receipts of \$94 and \$3 in cash. In recording the check, the company should:

a) Debit Cash Over and Short for \$3.

b) Debit Petty Cash for \$94.

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c) Credit Cash for \$94.

d) Credit Petty Cash for \$3

Answer: A

20) In bank reconciliation, deposits in transit are:

a) Deducted from the book balance.

b) Added to the book balance.

c) Added to the bank balance.

d) Deducted from the bank balance.

Answer: C

21. It is an independent group of experts responsible for the development of IFRS.

A. International Accounting Standards Board

B. International Accounting Standards

Committee

C. IFRS Foundation

D. International Accounting Standards

Committee Foundation

Answer: A

22. In measuring the price (or fair value) in an orderly transaction, how should an entity account

for transaction costs?

A. Adjust fair value for transaction costs

B. Ignore transaction costs when measuring fair value

C. The decision is asset specific

D. All of the above is possible

Answer: B

23. A law firm has billed their clients for services performed. They subsequently received payments from their clients. What entry will the law firm make upon receipt of the payments?

A. Debit Unearned Service Revenue and credit Service Revenue

B. Debit Cash and credit Accounts Receivable

C. Debit Accounts Receivable and credit Service Revenue

D. Debit Cash and credit Service Revenue

Answer: B

24. Carrying amount is the amount at which an asset is recognized \_\_\_\_\_.

- A. After deducting any accumulated depreciation (amortization)
- B. After deducting accumulated impairment losses, if any
- C. Before deducting accumulated impairment losses, if any
- D. A and B

Answer: D

25. Which of the following terms does this statement define: “the amount by which the carrying amount of an asset or a cash-generating unit exceeds its recoverable amount”?

- A. Depreciation
- B. Fair value

C. Impairment loss

D. Value in use

Answer: C

26. Which of the following is not the characteristics of intangible asset

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A. They are identifiable

B. They lack physical existence

C. They are not monetary assets

D. They are monetary assets

Answer: D

27. Which of the following does not define investment property?

A. Property held to earn rentals

B. Property held for capital appreciation

C. Property used in the production or supply of goods or services

D. Indefinite life

Answer: C

28. Which standard covers non-current assets held for sale and discontinued operations?

A. IAS 38 B. IAS 41 C. IFRS 5 D. IFRS 6

Answer: C

29. On 31 December 2015, a company has partly-completed inventory with a cost to date of

ETB 26,300. It is expected that further costs of ETB 8,900 will be incurred in order to complete the inventory. It will then be sold for ETB 47,500. Selling costs will be ETB

2,000. The cost and the net realizable value of this inventory at 31 December 2015 are:

A. ETB35,200 and ETB45,500

B. ETB35,200 and ETB47,500

C. ETB26,300 and ETB36,600

D. ETB26,300 and ETB38,600

Answer: C

30. James & Arun Ltd. is purchasing a second-hand grinding machine from a competitor who has gone bankrupt. James & Arun Ltd. will incur the following costs: Agreed price to be paid to vendor, ETB 16,000; dismantling the machine at its current location, ETB 1,300; Transportation to James & Arun's factory, ETB 700; Machine refurbishment costs prior

to re-installation, ETB 350 and; Re-installation, ETB 550. According to IAS 16 -

'Property, Plant and Equipment', the total included in non-current assets (PPE) in respect of the machine should be:

- A. ETB 17,600
- B. ETB 16,550
- C. ETB 17,050
- D. ETB 18,900

Answer: D

31. Ability to refinance a short-term debt on a long-term basis is evidenced by;

- A. Actually having issued other short-term debt to replace the short-term debt after the date of the balance sheet but before it is issued.

B. Planning to issue equity securities to replace the short-term debt after the date or the balance sheet

C. Having entered into a firm financing contract that will enable the debtor to refinance the short-term debt when it becomes due

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D. All of the above

Answer: C

32. Kebede's a retail store operating in a state with a 5% retail sales tax. The state law provides that the retail sales tax collected during the month must be remitted to the state during the following month. If the amount collected is remitted to the state on or before

the twentieth day of the following month the retailer may keep 2% of the sales tax collected. On April 10, Kebede's remitted Br.16, 905 sales taxes to the state tax division for March retail sales. What was the amount of the March retail sales subject to sales tax?

- A. Br. 331,340
- B. Br. 331,480
- C. Br. 338,100
- D. Br. 345,000

Answer: D

33. On July 1, year 2, Mesheshaw Corporation issued Br 1,000,000 face amount, 10%, 20-year bonds with detachable stock warrants attached for Br 1,060,000. Each Br 1,000 bond

had a detachable stock warrant enabling the acquisition of one share of Mesheshaw's Br 50 par common stock for Br 60. Immediately after issuance of the bonds, market values of Mesheshaw's securities were as follows:

|                               |          |
|-------------------------------|----------|
| 10% bonds (ex-warrants) ..... | Br 1,040 |
| Stock warrants .....          | 20       |
| Br 50 par common stock .....  | 56       |

In the journal entry to record issuance of the bonds, Mesheshaw Corporation credits premium on Bonds payable for:

A. Br 0 B. Br 20,000 C. Br 40,000 D. Br 60,000

Answer: C

34. On January 2, year 6, Dula Company acquired (as a long-term investment) 5,000 shares of Kaleb Company's common stock at Br 60 a share. The 5,000 shares were less than 10% of Kaleb's outstanding common stock. On December 15, Year 6, when the market value of Kaleb common stock was Br 47 a share, Dula determined that the market value decline was permanent. The market value of Kaleb common stock was Br 46 a share on December 31, Year 6.

The Realized Loss on Value of Long-term investments ledger account balance for Dula Company on December 31, Year 6, is:

Br 0 B. Br 5,000 C. Br 65,000 D. Br 70,000

Answer: D

35. The growth in leasing indicates that it often has some genuine advantages over owning property, such as:

A. Protection against obsolescence

B. Flexibility

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C. Less costly financing

D. All of the above

Answer: D

36. Realization of revenue refers to:

A. The timing of its recognition in the accounting records

B. The knowledge that it has been earned

C. Its receipt in the form of cash

D. Its recognition in an adjusting entry at the end of an accounting period

Answer: A

37. Which of the following is the most widely accepted evidence of revenue realization by a manufacturing enterprise?

A. The process of production of products

B. The completion of production of products

C. The sale and delivery of products to customers

The receipt of cash from the sale of finished products

Answer: C

38. On November 1, Year 3, Tarekegn

Company acquired machinery at a cost of Br.150,000. The machinery was being depreciated by the double-declining-balance method over an economic life of 10 years, with no residual value. On November 1, Year 5, Tarekegn decided to change to the straight-line method of depreciation. Disregarding income taxes, the cumulative effect of this accounting change is:

A. Br.0 B. Br.24, 000 C. Br.28, 200 D. Br. 54, 000

Answer: B

39. The statement of cash flows provides information to help investors, creditors, and

others

assess the following, except;

A. The entity's ability to generate future cash flows

B. The entity's ability to pay dividends and meet obligations

C. The cash and non-cash investing and financing transactions during the period

D. None of the above

Answer: D

40. Biological assets or agricultural produce are recognized when:

A. Entity controls the asset as a result of a past event

B. Probable that future economic benefit will

flow to the entity;

C. Fair value or cost of the asset can be measurement reliably

D. All of the above

Answer: D

41. Which one of the following is/are not true about cost accounting?

A. Cost accounting is guided by the Fair value principle of IFRS

B. Cost accounting is used for planning, directing and controlling activities of the management

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C. Cost accounting is providing cost information about cost objects

D. Cost accounting is an intermediate between managerial and financial accounting

Answer: A

42. If one of the costs incurred for the production of Auto in Auto Assembling company is motor and each auto requires one motor costing birr 15,000 each. Hence which one of the following is/are not true about the cost of motor?

A. Direct cost for the auto

B. Period cost for the auto

C. Variable cost

D. Manufacturing cost

Answer: B

43. The term used to describe the assignment of

direct costs to cost objects is:

- A. Cost allocation
- B. Cost assignment
- C. Cost tracing
- D. Costing system

Answer: C

44. Hawassa Industrial Park at the beginning of the year 2022, planned to incur direct material and direct labor costs of birr 100 million and birr 50 million respectively. The total selling, general and administrative costs are birr 8,000,000 and manufacturing overhead cost is 30%

of the total non manufacturing costs. Hence, what is the prime and conversion costs

respectively of the company for the year 2022?

A. Birr 150 million and birr 52.4 million

B. Birr 150 million and birr 8 million

C. Birr 50 million and birr 8 million

D. Birr 152.4 million and birr 8 millio

Answer: A

45. Under Q 4, what is the product and period cost of the company for the year 2014 respectively?

A. Birr 150 million and birr 8 million

B. Birr 150 million and birr 2.4 million

C. Birr 152.4 million and birr 8 million

D. Birr 800,000 and birr 150 million

Answer: C

46. A costing system applied for products based

on consumers' requirements and specifications is:

A. Job costing B. Batch costing C. Process costing D. Operation costing

Answer: A

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47. In the Job order costing systems which one of the following is not true?

A. Material requisition form is the source document to record direct materials cost to a job

B. When direct material and direct labor costs are incurred to a job, the amount is debited to work in process account

C. When production is completed the overhead

cost is allocated to a job

D. Finished goods inventory account is debited to the cost of units sold

Answer: D

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48. Process costing system is recommended to determine the cost of which company/ies product?

A. Furniture manufacturer

B. Flour, oil and chemical manufacturer

C. Textile company producing different types of textile

D. Advertising and promotion company

Answer: B

49. Physical measurement unit approach of joint

cost allocation is used if

A. There is byproduct in the joint production process

B. If products are sellable at split off point

C. If joint products have common physical measurement unit

D. B and C

Answer: C

50. Variable costing and absorption costing approaches consider product cost as

A. All manufacturing costs in both cases

B. Variable manufacturing costs only in both cases

C. Direct manufacturing and indirect variable manufacturing costs in variable costing

D. Direct manufacturing costs in absorption costing

Answer: C

51. Which one of the following is/are true about the relevance concept:

A. Expected future revenue and cost that can create difference between alternatives

B. All variable costs are relevant and all fixed costs are irrelevant

C. The decision should be based on unit cost rather than total cost

D. A and B

Answer: A

52. All are true about the issues that should be considered in making or buying decision,

except:

- A. All variable and fixed costs of making
- B. Outsourcing cost
- C. The avoidable fixed costs
- D. The opportunity of producing another product with the freed capacity

Answer: A

53. Which one of the following is/are true about volume of production to achieve the target operating income:

- A. It is the break even volume
- B. It is the volume of production beyond the breakeven point and under the practical capacity level
- C. It is the volume of production beyond the

breakeven point and above the practical capacity level

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D. It is the volume of production below the breakeven point

Answer: B

54. All are true about flexible budget and static budget except

A. Flexible budget is a hypothetical budget that a company would have been prepared at the beginning of a period if the company had forecast its actual output correctly

B. The starting point in static budget is production budget

C. Both flexible and static budget are using

budgeted cost and revenue data

D. Flexible budget is flexed static budget for actual output

Answer: B

55. Which one of the following is not true about unfavorable static budget operating income variance

A. It might be due to unfavorable revenue and cost variance

B. It might be due to unfavorable revenue variance outweighing favorable cost variance

C. It might be due to unfavorable cost variance outweighing favorable revenue variance

D. It might be due to favorable revenue variance outweighing unfavorable cost variance

Answer: D

56. Assume for Hashu Flour factory for the month ended December 31, 2022: direct materials cost, direct manufacturing labor cost, and total manufacturing overhead

(30% variable and 70% fixed) were birr 300,000; 50,000 and 200,000 respectively.

The total unit of production during the month was 10,000 quintals of flour. Hence, what will be the unit product cost as per variable and absorption costing approaches respectively?

A. Birr 55 and 41 respectively

B. Birr 550,000 and 410,000 respectively

C. Birr 41 and 75 respectively

D. Birr 490,000 and 550,000 respectively

Answer: C

57. Assume the available production capacity of Addis Mojo Oil Factory is to produce up to 100,000 liters of oil per week. The current production is only up to 60,000 liters per week. The regular selling price is birr 40 per liter and the Factory is now incurring birr 25 per liter variable cost and birr 3,000 fixed cost per week. The regular customers of the Factory are located in Ethiopia. ABC merchandiser found in Djibouti asked Addis Mojo to supply up to 35,000 liters for the coming month at the special order price of birr 30 per liter. Addis Mojo is

not expected to incur any more cost for the facilities to fill the special order.

With the available excess capacity how many liters of oil can Addis Mojo supply per week and comparing the excess capacity should the factory accept or reject the special order from ABC?

A. 35,000 liters and accept the special order  
1,050,000

B. 0 liters and reject the special order

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C. 85,000 liters and accept the special order

D. 40,000 liters and accept the special order

Answer: D

58. Based on the information provided on

question Number 7, what is the contribution margin from the special order if Addis Mojo accepts the special order and according to this result should the Factory accept or reject the special order?

- A. Birr 173,250 and accept the special order
- B. Birr 175,000 and accept the special order
- C. Birr 172,000 and accept the special order
- D. -Birr 173,250 and reject the special order

Answer: B

59. Assume Derba Cement Factory during the year 2022 has been selling its product at birr 200 per quintal. For the coming period Derba assumed its competitors such as Muger Cement Factory will reduce their price

by 3%. The Factory expects to reduce price by 3.5% and wants to earn 30% operating income up on each unit sale. Hence what is the target price and target costs per quintal for Derba for the coming period respectively?

- A. Birr 194 and 135.8
- B. Birr 200 and 140
- C. Birr 206 and 144.2
- D. Birr 193 and 135.1

Answer: D

60. Favorable sales volume variance in cost is :

- A. Cost saving due to the decline in actual price than the expected one
- B. Cost saving due to the decline in actual

quantity utilized than the expected one

C. Cost saving due to the decline in actual quantity produced than the expected one

D. Cost increment due to the decline in actual quantity produced than expected one

Answer: C

61. Choose the best answer to explain the analysis of the current ratio.

A. A high ratio shows a company's capabilities to pay their current liabilities with their current assets.

B. A high ratio shows a company's capabilities to pay their current assets with their current liabilities

C. A low ratio shows a company's capabilities to

pay their current liabilities with their  
current assets

D. A low ratio shows a company's capabilities  
to pay their current assets with their  
current liabilities.

Answer: A

62. "Shareholder wealth" in a firm is  
represented by:

A. The number of people employed in the firm.

B. The book value of the firm's assets less the  
book value of its liabilities.

C. The amount of salary paid to its employees.

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D. The market price per share of the firm's  
common stock

Answer: D

63. A(n) \_\_\_\_\_ would be an example of a principal, while a(n) \_\_\_\_\_ would be an example of an agent.

- A. Shareholder; manager
- B. Manager; owner
- C. Accountant; bondholder
- D. Shareholder; bondholder

Answer: A

64. Which one of the following principles of financial management is/are shouldn't be considered in investment decision.

- A. Risk return trade off
- B. Incremental cash flow
- C. Time value of money

D. None of the above

Answer: D

65. The financial managers of corporations use the concept of time value of money to;

A. Make business decisions.

B. Compare cash flows of different projects.

C. Determine the price of common stock.

D. All of the above

Answer: D

66. Which of the following statements is FALSE?

A. A dollar received one year from now will be worth more than a dollar received today.

B. On monthly compounding loans, the annual percentage yield will be less than the

nominal or quoted rate of interest.

C. Compounding essentially means earning interest on interest on an initial balance.

D. Perpetuities pay an equal payment forever

Answer: A

67. Higher \_\_\_\_\_ is associated with greater probability of higher return.

A. Capital B. Risk C. Investment D. None

Answer: B

68. Cost of capital is \_\_\_\_\_.

A. Lesser than the cost of debt capital.

B. Equal to the last dividend paid to the equity shareholders.

C. Equal to the dividend expectations of equity shareholders for the coming year.

D. None of the above.

Answer: D

69. Mr.Lema purchased 100 stocks of futura informatics ltd, for Br 21 on March 15, sold for

Br 35 on March 14 next year. In the company paid a dividend of Br 2.50 per sharethemAnils holding period return is \_\_\_\_\_.

A. 11.90%.

B. 45.40%.

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C. 66.70%.

D. 78.60%.

Answer: D

70. What is the present value of a Br 1,000 ordinary annuity that earns 8% annually for an infinite number of periods?

A. Br 80

B. Br 800

C. Br 1000

D. Br 12,500

Answer: D

71. Which one of the following statement is not true about dividend irrelevance theory?

A. Dividend policy has no effect on either the price of a firm's stock or its cost of capital.

B. Firm's value is determined only by its basic earning power and its business risk.

C. The value of the firm depends only on the income produced by its assets.

D. Dividend policy has effect on either the price of a firm's stock or its cost of capital

Answer: D

72. Modigliani and Miller, recognizing that dividends do somehow affect stock prices, suggest that positive effects of dividend increases are attributable

A. Directly to the dividend policy.

B. Directly to the optimal capital structure.

C. Not to the informational content but to the consistency in the payment of dividends.

D. Not to the dividend itself but to the informational content of the dividends with

respect to future earnings.

Answer: D

AMAZ company expects to earn \$4.4 million in 2009 and 50% of this amount (or \$2.2 million) has been allocated for distribution to common shareholders. There are 1.1 million shares outstanding and the market price is \$20 a share. AMAZ believes that it can use the \$2.2 million to repurchase 100,000 of its shares through a tender offer at \$22 a share or pay a cash dividend of \$2 share.

73. Based on the given information above, what are the earnings per share and price earning ratio of the company respectively?

A. \$4 and \$5 B. \$4 and \$ 6 C. \$4 and \$2 D. \$4

and \$11

Answer: A

74. One of the following Provides detailed information about credit reports except?

A. A summary balance sheet and income statement.

B. A number of key ratios with trend information.

C. The firm's suppliers that telling it have recently failed to make any payments.

D. A verbal description of the physical condition of the firm's operations

Answer: C

75.If ABC Corporation buyback 10% of its outstanding common stock from the secondary market, the result would be

- A. A decline in EPS.
- B. An increase in cash.
- C. A decrease in total assets.
- D. An increase in the number of stockholders.

Answer: C

76. Which of the following examples best represents a passive dividend policy

- A. The firm sets a policy such that the proportion of dividends paid from net income remains constant.
- B. The firm pays dividends with what remains of net income after taking acceptable

investment projects.

C. The firm sets a policy such that the quantity (dollar amount per share) of dividends paid from net income remains constant.

D. All of the above are examples of various types of passive dividend policies

Answer: B

77. Consider the following two statements:

1. A company is experiencing ordinary growth and has high liquidity and much unused borrowing capacity.

2. A company with volatile and high business risk.

For each of the companies described above, would you expect it to have a high or low

dividend payout ratio?

A. Low dividend payout ratio for both companies

B. High dividend payout ratio for both companies

C. Low dividend payout ratio for the company mentioned in Statement (I) and high dividend payout the ratio for the company mentioned in Statement (II)

D. High dividend payout ratio for the company mentioned in Statement (I) and low dividend payout ratio for the company mentioned in Statement (II)

Answer: D

78. Consider the following two statements:

(I) A company with a large portion of inside ownership, all of whom are high-income individuals.

(II) A growth company with an abundance of good investment opportunities.

For each of the companies described above, would you expect it to have a high or low dividend payout ratio?

A. Low dividend payout ratio for both companies

B. High dividend payout ratio for both companies

C. Low dividend payout ratio for the company mentioned in Statement (I) and high dividend payout ratio for the company

mentioned in Statement (II)

D. High dividend payout ratio for the company mentioned in Statement (I) and low dividend payout ratio for the company mentioned in Statement (II)

Answer: D

79. An objective of cash management is to

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A. Maximize the cash balance to avoid the risk of illiquidity

B. Minimize the cash balance to maximize the return from the idle cash

C. Invest cash for a return while retaining sufficient liquidity to satisfy future needs

D. Reserve as much cash as possible for

potential investment opportunities

Answer: B

80. Proponents of the dividend irrelevance theory argue that, all else being equal, an investor's required return and the value of the firm are unaffected by dividend policy, for all of the following reasons, except

A. The firm's value is determined solely by the earning power and risk of its assets.

B. Investors are generally risk averse and attach less risk to current as opposed to future dividends or capital gains.

C. If dividends do affect value, they do so solely because of their information content, which signals managements' earnings

expectations.

D. A clientele effect exists which causes a firm's shareholders to receive the dividends that they expect

Answer: B

81. Markets in which funds are transferred from those who have excess funds available to those who have a shortage of available funds are called

- A. Commodity markets.
- B. Funds markets.
- C. Derivative exchange markets.
- D. Financial markets.

Answer D

82. The price paid for the rental of borrowed

funds is commonly referred to as the

- A. Inflation rate.
- B. Exchange rate.
- C. Interest rate.
- D. Aggregate price level.

Answer C

83. Which of the following are securities?

- a. A certificate of deposit
- b. A share of Texaco common stock
- c. A Treasury bill
- d. All of the above

Answer D

84. Long-term debt and equity instruments are traded in the \_\_\_\_\_ market.

- A. Primary

B. Secondary

C. Capital

D. Money

Answer C

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85. A corporation acquires new funds only when its securities are sold in the

A. Secondary market by an investment bank.

B. Primary market by an investment bank.

C. Secondary market by a stock exchange broker.

D. Secondary market by a commercial bank.

Answer: B

86. Intermediaries who are agents of investors and match buyers with sellers of securities

are called

A. Investment bankers.

B. Traders.

C. Brokers.

D. Dealers.

Answer C

87. A loan that requires the borrower to make the same payment every period until the maturity date is called a

A. Simple loan.

B. Fixed-payment loan.

C. Discount loan.

D. Same-payment loan.

Answer B

88. Which theory of the term structure proposes

that bonds of different maturities are not substitutes for one another?

- A. Market segmentation theory
- B. Pure expectations theory
- C. Liquidity premium theory
- D. Separable markets theory

Answer A

89. The riskiest capital market security is

- A. Preferred stock.
- B. Common stock.
- C. Corporate bonds.
- D. Treasury bonds.

Answer B

90. All of the following are principles of the regulation of the financial markets and

institutions; EXCEPT.

A. Competitive neutrality C. Accountability

|                                            |                            |
|--------------------------------------------|----------------------------|
| B. Cost<br>ineffective<br>ness<br>Answer D | D.<br>Deposit<br>Insurance |
|--------------------------------------------|----------------------------|

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91. Governmental units that engage in self-supporting activities by providing goods and services to the public on a user charge basis should be accounted for in what fund category?

A. Governmental Fund

B. Any Non-expendable fund

C. Proprietary Fund

D. Fiduciary Fund

Answer C

92. Which of the following is not a budgetary account?

A. Encumbrance

B. Appropriation

C. Expenditure

D. Disbursement

Answer D

93. Which of the following is not true about Governmental accounting

A. Use separate funds to account for various activities

B. Incorporate budgetary accounts into the

accounting system

C. Measure the amount of profit earned during a fiscal year

D. Focus on flows of current financial resources

Answer C

94. Within a fund, which of the following results from using the current financial resources measurement focus?

A. Capital assets will be depreciated

B. Property taxes will be recognized on the cash basis of accounting

C. A liability must be reported for unsettled claims, provided payment ultimately will be made

D. Long-term assets and liabilities will not be

recorded in the fund

Answer D

95. The General Fund levies property taxes in the amount of Birr 1,000,000 for calendar year 2009. It expects to collect Birr 950,000 during the year, Birr 30,000 in the first 60 days of the next year, and Birr 15,000 during the rest of the next year. It does not expect to collect the remaining Birr 5,000. How much property tax revenue should it recognize for the year 2009?

A. Birr 1,000,000

B. Birr 980,000

C. Birr 995,000

D. Birr 990,000

Answer B

96. What is the purpose of a debt service fund?

A. To accumulate resources for paying interest on all debt issued by the government

B. To account for all outstanding long-term and short-term debt issued by the government

C. To account for outstanding general long-term debt

D. To accumulate resources for paying principal and interest on general long-term debt

Answer D

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97. A local government sells bonds having a

face value of Birr 1, 000,000 at par. The bond proceeds will be accounted for in a Capital Projects Fund. What account will be credited to offset the debit to cash?

- A. Other financing sources
- B. Citizens equity
- C. Fund balance
- D. Bonds payable

Answer A

98. A long-term loan from the General Fund to another fund is reported in the General Fund as:

- A. Due from other fund
- B. Due to other fund
- C. Advance to other fund

D. Advance from other fund

Answer C

99. Upon ordering supplies a government should

A. Debit encumbrances and credit reserve for encumbrances

B. Debit reserve for encumbrances and credit encumbrances

C. Debit expenditures and credit encumbrances

D. Debit expenditures and credit vouchers payable

Answer A

100. For which of the following funds would a government be least likely to record its annual budget and thereby integrate it into its

accounting system?

A. General fund

B. Special revenue fund

C. Capital project fund

D. Enterprise fund

Answer: D

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